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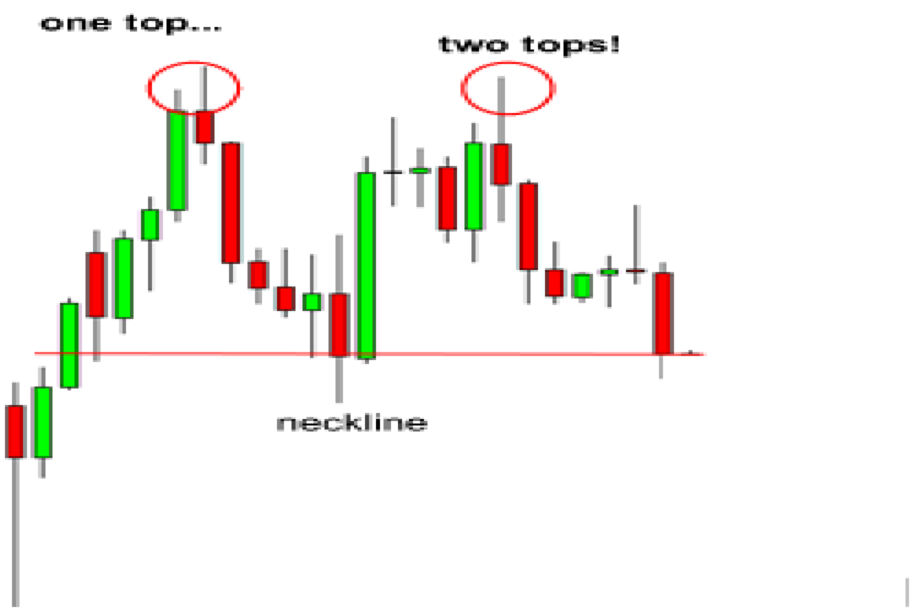
INTERMEDIATE TRADING COURSE

How To Trade Double Tops And Double Bottoms

Double Top

A double top is a reversal pattern that is formed after there is an extended move up.

The “tops” are peaks which are formed when the price hits a certain level that can’t be broken.
After hitting this level, the price will bounce off it slightly, but then return back to test the level again. If the price bounces off of that level again, then you have a DOUBLE top!



On the chart above, you can see that two peaks or “tops” were formed after a strong move up.

Notice how the second top was not able to break the high of the first top.

This is a strong sign that a reversal is going to occur because it is telling us that the buying pressure is just about finished.
With the double top, we would place our entry order below the neckline because we are anticipating a reversal of the uptrend.

Wow! We must be psychic or something because we always seem to be right!

Looking at the chart you can see that the price breaks the neckline and makes a nice move down.

Remember that double tops are a trend reversal formation so you'll want to look for these after there is a strong uptrend.

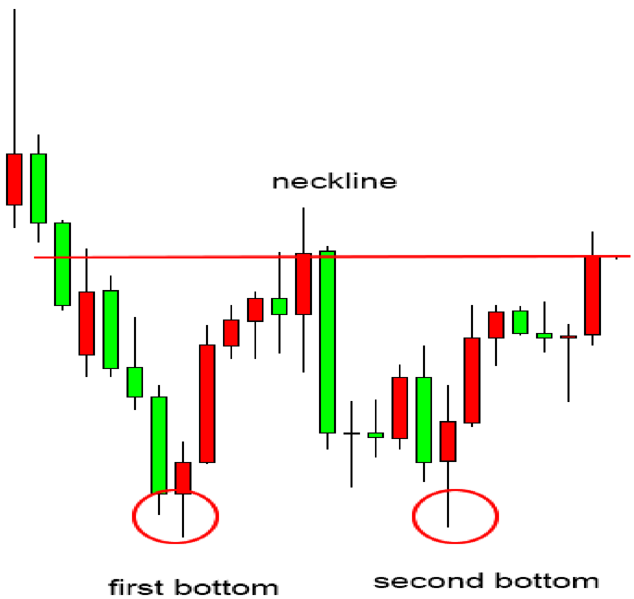
You'll also notice that the drop is approximately the same height as the double top formation.

Keep that in mind because that'll be useful in setting profit targets.

Double Bottom

The double bottom is also a trend reversal formation, but this time we are looking to go long instead of short.

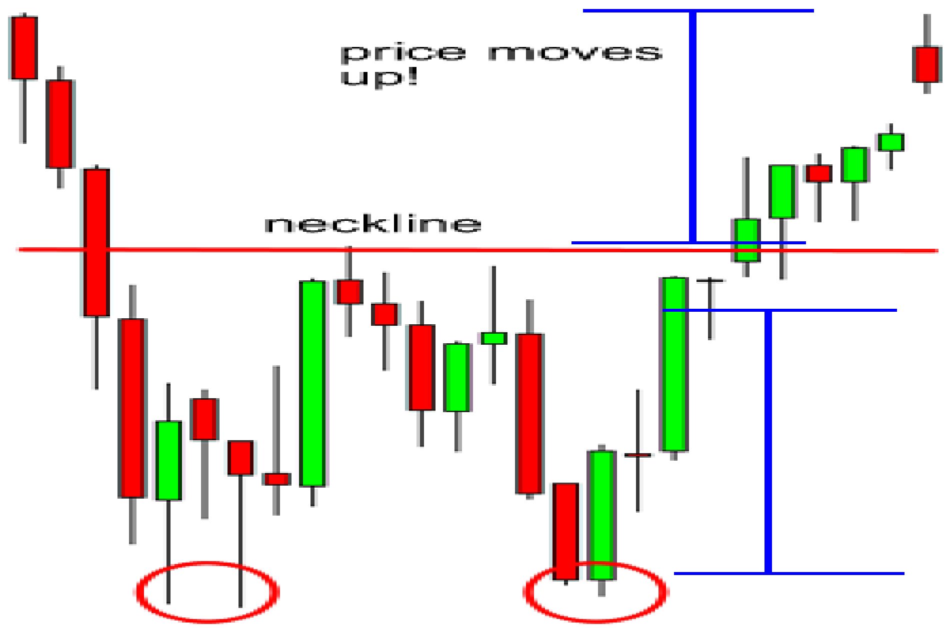
These formations occur after extended downtrends when two valleys or "bottoms" have been formed.



You can see from the chart above that after the previous downtrend, the price formed two valleys because it wasn't able to go below a certain level.

Notice how the second bottom wasn't able to significantly break the first bottom.

This is a sign that the selling pressure is about finished, and that a reversal is about to occur.



Will you look at that!

The price broke the neckline and made a nice move up.
See how the price jumped by almost the same height as that of the double bottom formation?

Remember, just like double tops, double bottoms are also trend reversal formations.

You'll want to look for these after a strong downtrend.

"Money can't buy you happiness but it does bring you a more pleasant form of misery". *Spike Milligan*

How To Trade The Head And Shoulders Pattern

Head and Shoulders

A head and shoulders pattern is also a trend reversal formation.

It is formed by a **peak** (shoulder), followed by a **higher peak** (head), and then another **lower peak** (shoulder).

A "**neckline**" is drawn by connecting the lowest points of the two troughs.

The slope of this line can either be up or down. Typically, when the slope is down, it produces a more reliable signal.

In this example, we can easily see the head and shoulders pattern. The head is the second peak and is the highest point in the pattern. The two shoulders also form peaks but do not exceed the height of the head.

With this formation, we put an entry order below the neckline.

We can also calculate a target by measuring the high point of the head to the neckline.

This distance is approximately how far the price will move after it breaks the neckline.

You can see that once the price goes below the neckline it makes a move that is at least the size of the distance between the head and the neckline.

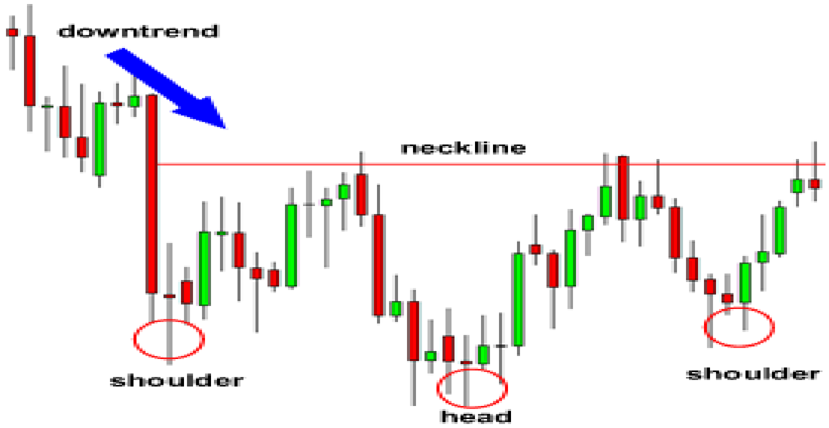
We know you're thinking to yourself, "the price kept moving even after it reached the target."

And our response is, "**DON'T BE GREEDY!**"

Inverse Head and Shoulders

The name speaks for itself. It is basically a head and shoulders formation, except this time it's upside down.

A valley is formed (shoulder), followed by an even lower valley (head), and then another higher valley (shoulder). These formations occur after extended downward movements.

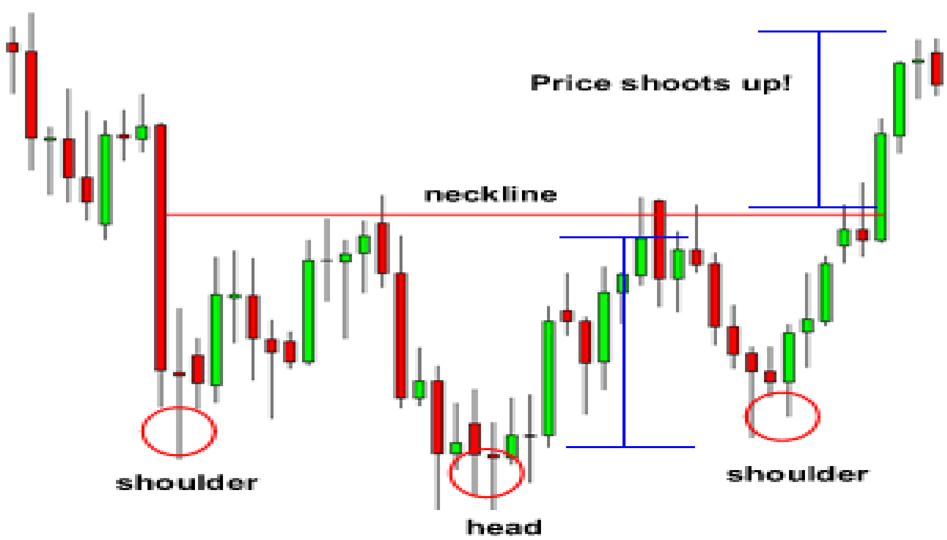


Here you can see that this is just like a head and shoulders pattern, but it's flipped upside down.

With this formation, we would place a long entry order above the neckline.

Our target is calculated just like the head and shoulders pattern.

Measure the distance between the head and the neckline, and that is approximately the distance that the price will move after it breaks the neckline.



You can see that the price moved up nicely after it broke the neckline.

If your target is hit, then be happy with your profits.

However, there are trade management techniques where you can lock in some of your profits and still keep your trade open in case the price continues to move your way.

You will learn about those later on in the course

"We learn wisdom from failure much more than from success. We often discover what will do, by finding out what will not do; and probably he who never made a mistake never made a discovery". *Samuel Smiles*

How To Trade Wedge Chart Patterns

Wedges signal a pause in the current trend. When you encounter this formation, it signals that forex traders are still deciding where to take the pair next.

Wedges could serve as either continuation or reversal patterns.

Rising Wedge

A **rising wedge** is formed when price consolidates between upward sloping support and resistance lines.

Here, the slope of the support line is steeper than that of the resistance.

This indicates that higher lows are being formed faster than higher highs. This leads to a wedge-like formation, which is exactly where the chart pattern gets its name from!

With prices consolidating, we know that a big splash is coming, so we can expect a breakout to either the top or bottom.

If the rising wedge forms after an uptrend, it's usually a bearish reversal pattern.

On the other hand, if it forms during a downtrend, it could signal a continuation of the down move.

Either way, the important thing is that, when you spot this forex trading chart pattern, you're ready with your entry orders!

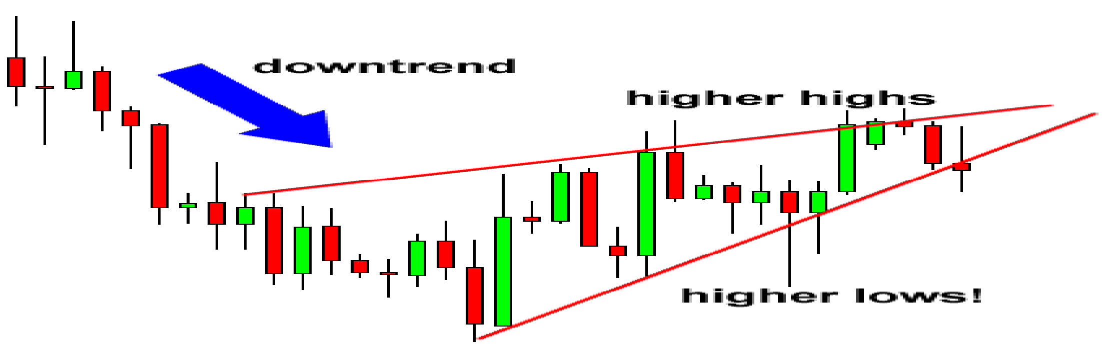
In this first example, a rising wedge formed at the end of an uptrend. Notice how price action is forming new highs, but at a much slower pace than when price makes higher lows.

See how price broke down to the downside? That means there are more forex traders desperate to be short than be long!

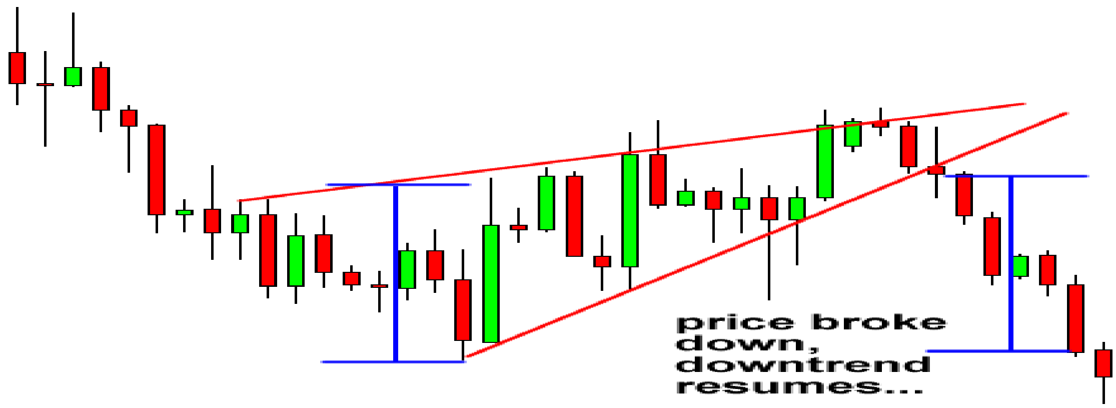
They pushed the price down to break the trend line, indicating that a downtrend may be in the cards.

Just like in the other forex trading chart patterns we discussed earlier, the price movement after the breakout is approximately the same magnitude as the height of the formation.

Now let’s take a look at another example of a rising wedge formation. Only this time it acts as a bearish continuation signal.



As you can see, the price came from a downtrend before consolidating and sketching higher highs and even higher lows.



In this case, the price broke to the down side and the downtrend continued. That’s why it’s called a continuation signal eh!

See how the price made a nice move down that’s the same height as the wedge?

What did we learn so far these Japanese candlestick chart patterns?

A rising wedge formed after an uptrend usually leads to a REVERSAL (downtrend) while a rising wedge formed during a downtrend typically results in a CONTINUATION (downtrend).

Simply put, a rising wedge leads to a downtrend, which means that it’s a BEARISHCHART PATTERN!

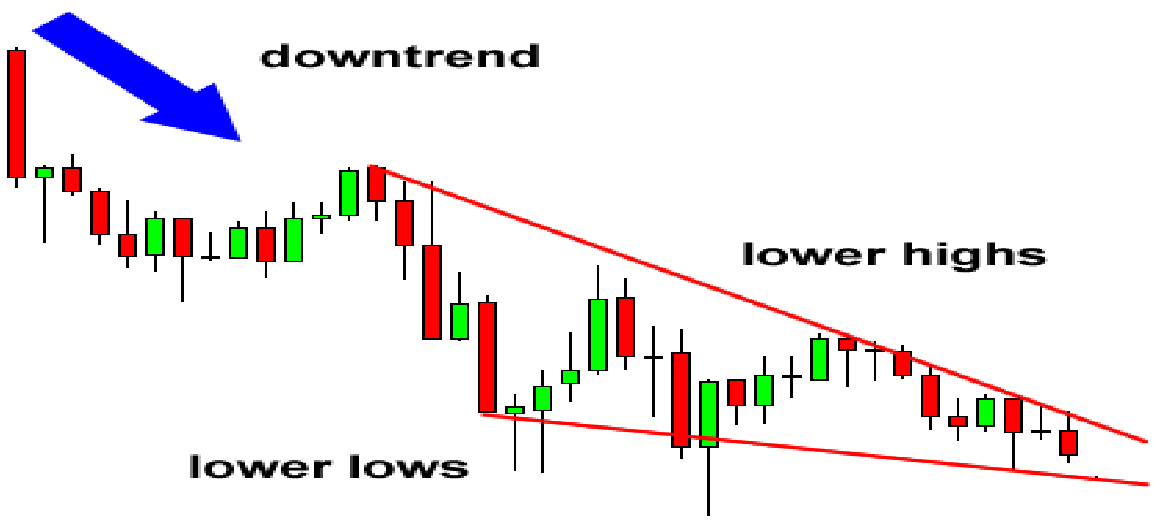
Falling Wedge

Just like the rising wedge, the **falling wedge** can either be a reversal or continuation signal.

As a reversal signal, it is formed at a bottom of a downtrend, indicating that an uptrend would come next.

As a continuation signal, it is formed during an uptrend, implying that the upward price action would resume.

Unlike the rising wedge, the falling wedge is a BULLISH CHART PATTERN.



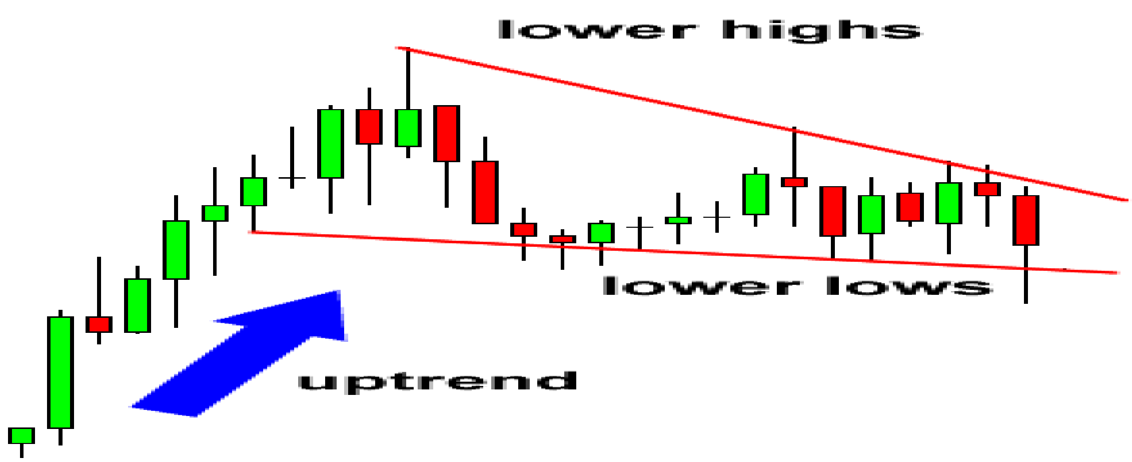
In this example, the falling wedge serves as a reversal signal. After a downtrend, the price made lower highs and lower lows.

Notice how the falling trend line connecting the highs is steeper than the trend line connecting the lows.

Upon breaking above the top of the wedge, the pair made a nice move upwards that's approximately equal to the height of the formation. In this case, the price rally went a few more pips beyond that target!

Let's take a look at an example where the falling wedge serves as a continuation signal.

Like we mentioned earlier, when the falling wedge forms during an uptrend, it usually signals that the trend will resume later on.



In this case, the price consolidated for a bit after a strong rally. This could mean that buyers simply paused to catch their breath and probably recruited more people to join the bull camp.

Hmm, it looks like the pair is revving up for a strong move. Which way would it go?

See how the price broke to the top side and went on to climb higher?
If we placed an entry order above that falling trend line connecting the pair's highs, we would've been able to jump in on the strong uptrend and caught some pips!

A good upside target would be the height of the wedge formation.

If you want to go for more pips, you can lock in some profits at the target by closing down a portion of your position, then letting the rest of your position ride.

"Real generosity toward the future consists in giving all to what is present". *Albert Camus*

"The definition of insanity is doing the same thing over and over and expecting different results". *Albert Einstein*

How To Use Rectangle Chart Patterns To Trade Breakouts

A **rectangle** is a chart pattern formed when price is bounded by parallel support and resistance levels.

A rectangle exhibits a period of consolidation or indecision between buyers and sellers as they take turns throwing punches but neither has taken over.

The price will “test” the support and resistance levels several times before eventually breaking out.

From there, the price could trend in the direction of the breakout, whether it is to the upside or downside.

In the example above, we can clearly see that the pair was bounded by two key price levels which are parallel to one another.

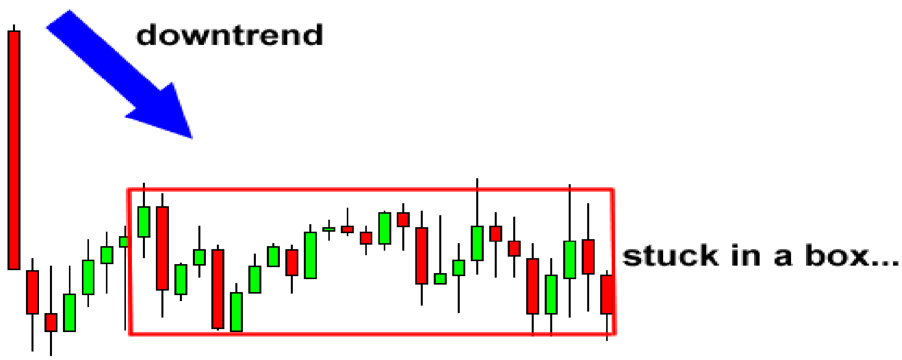
We just have to wait until one of these levels breaks and go along for the ride!

Remember, when you spot a rectangle: **THINK OUTSIDE THE BOX!**

Bearish Rectangle

A **bearish rectangle** is formed when the price consolidates for a while during a downtrend.

This happens because sellers probably need to pause and catch their breath before taking the pair any lower.



In this example, price broke the bottom of the rectangle chart pattern and continued to shoot down.

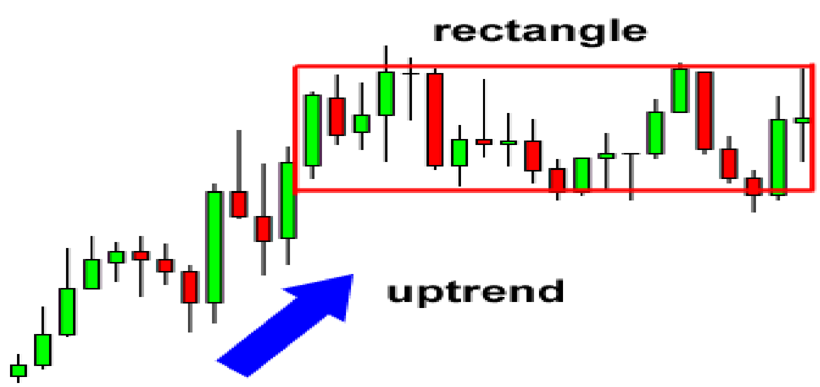
If we had a short order just below the support level, we would have made a nice profit on this trade.

Here's a tip: Once the pair falls below the support, it tends to make a move that is about the size of the rectangle pattern.

In the example above, the pair moved beyond the target so there would have been a chance to catch more pips!

Bullish Rectangle

Here's another example of a rectangle, this time, a **bullish rectangle** chart pattern. After an uptrend, the price paused to consolidate for a bit. Can you guess where the price is headed next?



If you answered up, then you're right! Check out that nice upside breakout right there!

Notice how the price moved all the way up after breaking above the top of the rectangle pattern.

If we had a long order on top of the resistance level, we would've caught some pips on the trade!

Just like in the bearish rectangle pattern example, once the pair breaks, it will usually make a move that's AT LEAST the size of its previous range

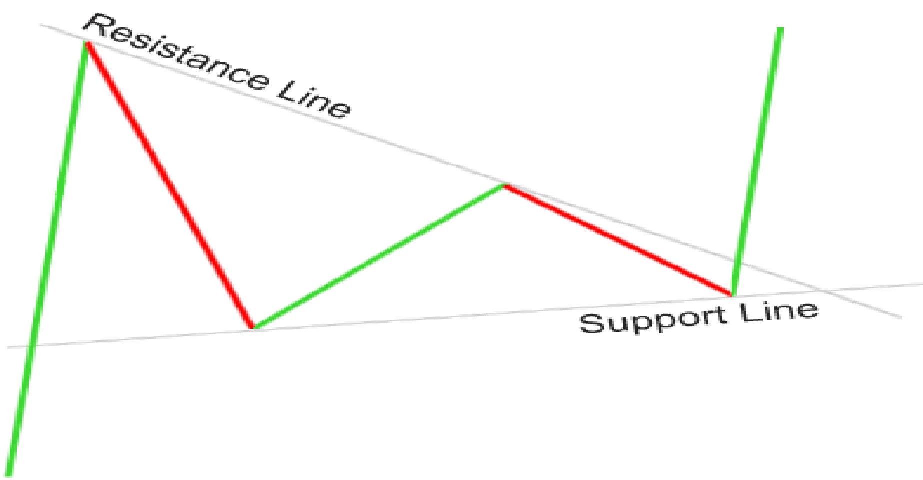
"Nothing happens unless first a dream". *Carl Sandburg*

How To Trade Bearish And Bullish Pennants

Similar to rectangles, pennants are continuation chart patterns formed after strong moves.

After a big upward or downward move, buyers or sellers usually pause to catch their breath before taking the pair further in the same direction.

Because of this, the price usually consolidates and forms a tiny symmetrical triangle, which is called a pennant**.**



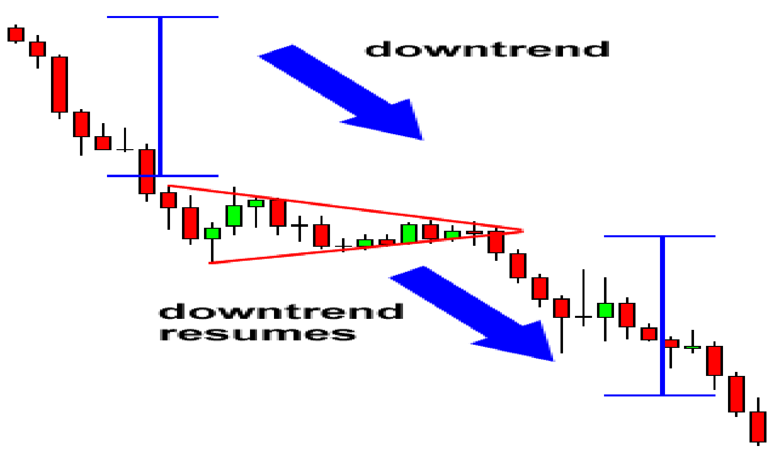
While the price is still consolidating, more buyers or sellers usually decide to jump in on the strong move, forcing the price to bust out of the pennant formation.

Bearish Pennants

A **bearish pennant** is formed during a steep, almost vertical, downtrend.

After that sharp drop in price, some sellers close their positions while other sellers decide to join the trend, making the price consolidate for a bit.

As soon as enough sellers jump in, the price breaks below the bottom of the pennant and continues to move down.



As you can see, the drop resumed after the price made a breakout to the bottom.

To trade this chart pattern, we'd put a short order at the bottom of the pennant with a stop loss above the pennant.

That way, we'd be out of the trade right away in case the breakdown was a fake out.

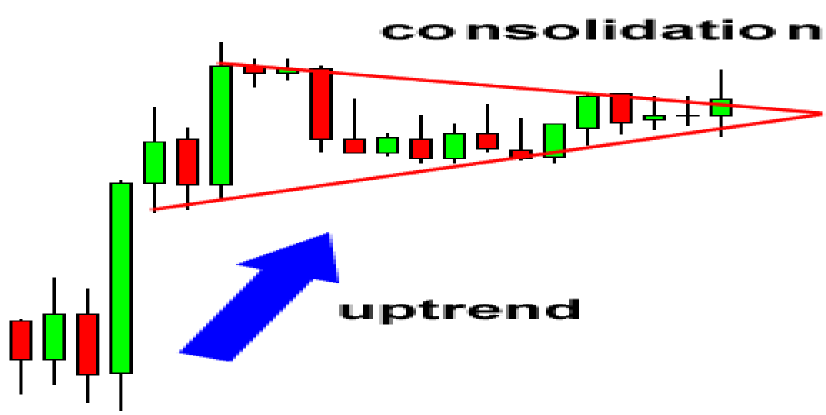
Unlike the other chart patterns wherein the size of the next move is approximately the height of the formation, pennants signal much stronger moves.

Usually, the *height* of the earlier move (also known as the mast) is used to estimate the size of the breakout move.

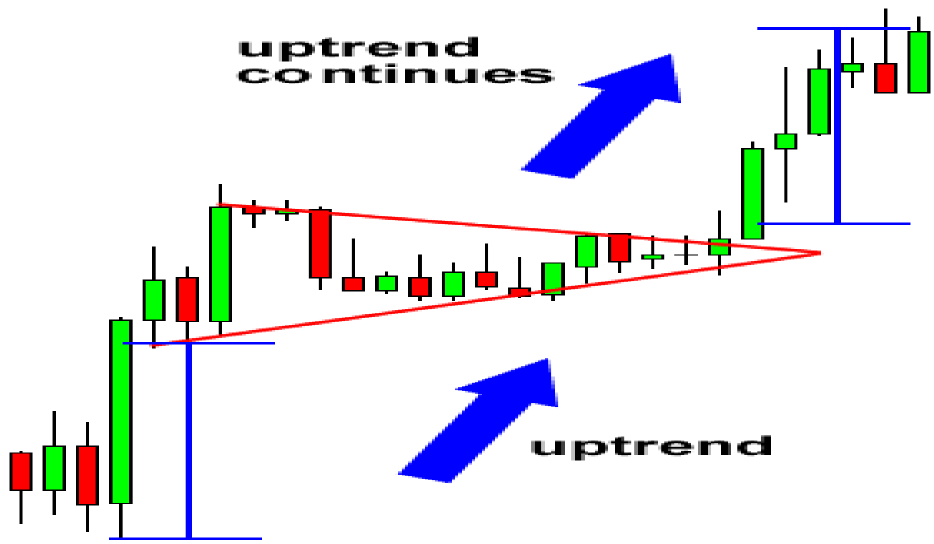
Bullish Pennant

Bullish pennants, just like its name suggests, signals that bulls are about to go a-chargin' again.

This means that the sharp climb in price would resume after that brief period of consolidation, when bulls gather enough energy to take the price higher again.



In this example, the price made a sharp vertical climb before taking a breather. I can hear the bulls stomping and revving up for another run!



Just like we predicted, the price made another strong move upwards after the breakout.

To play this, we'd place our long order above the pennant and our stop below the bottom of the pennant to avoid fakeouts.

Like we discussed earlier, the size of the breakout move is around the height of the mast (or the size of the earlier move).

You see, pennants may be small in size but they could signal huge price moves so don't underestimate them!

"Pain is inevitable, suffering is optional". *Origin Unknown*

"I'm not in this world to live up to your expectations and you're not in this world to live up to mine". *Bruce Lee*

How To Trade Triangle Chart Patterns

Just like there are three little pigs, there are three types of triangle chart formations: symmetrical, descending and ascending.

Symmetrical Triangle

A symmetrical triangle **is a chart formation where the slope of the price's highs and the slope of the price's lows converge together to a point where it looks like a triangle.**

What's happening during this formation is that the market is making lower highs and higher lows.

This means that neither the buyers nor the sellers are pushing the price far enough to make a clear trend.

If this were a battle between the buyers and sellers, then this would be a draw.

This is also a type of consolidation.

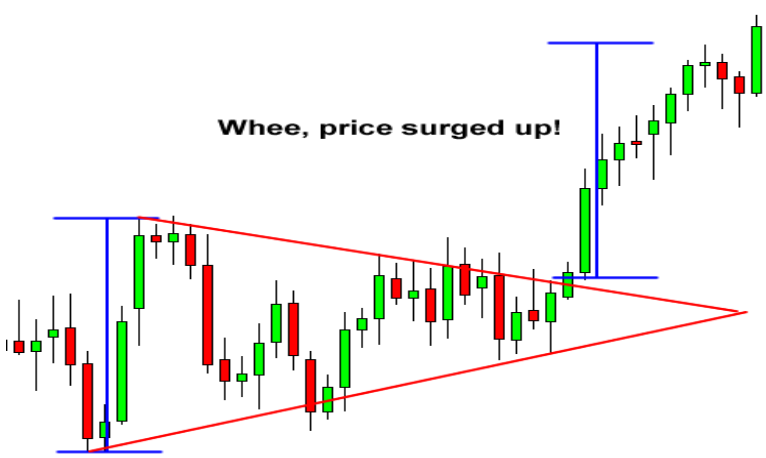
In the chart above, we can see that neither the buyers nor the sellers could push the price in their direction. When this happens we get lower highs and higher lows.

As these two slopes get closer to each other, it means that a breakout is getting near.

We don't know what direction the breakout will be, but we do know that the market will **most likely** break out. Eventually, one side of the market will give in.

So how can we take advantage of this?

We can place entry orders above the slope of the lower highs and below the slope of the higher lows. Since we already know that the price is going to break out, we can just hitch a ride in whatever direction the market moves.



In this example, if we placed an entry order above the slope of the lower highs, we would've been taken along for a nice ride up.

If you had placed another entry order below the slope of the higher lows, then you would cancel it as soon as the first order was hit.

Ascending Triangle

This type of triangle chart pattern occurs when there is a resistance level and a slope of higher lows.

What happens during this time is that there is a certain level that the buyers cannot seem to exceed. However, they are gradually starting to push the price up as evident by the higher lows.

In the chart above, you can see that the buyers are starting to gain strength because they are making higher lows.

They keep putting pressure on that resistance level and as a result, a breakout is bound to happen.

Now the question is, “Which direction will it go? Will the buyers be able to break that level or will the resistance be too strong?”

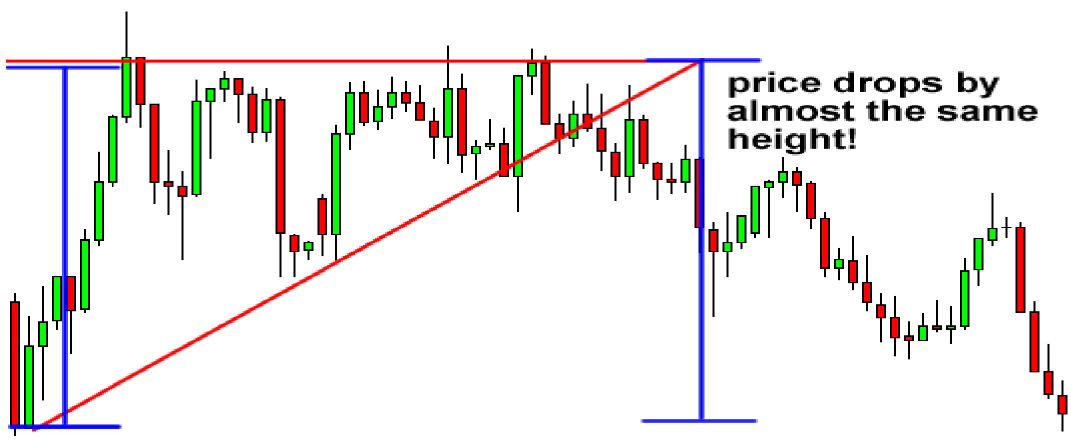
Many charting books will tell you that in most cases, the buyers will win this battle and the price will break out past the resistance.

However, it has been our experience that this is not always the case.

Sometimes the resistance level is too strong, and there is simply not enough buying power to push it through.

Most of the time, the price will, in fact, go up. The point we are trying to make is that you should not be obsessed with which direction the price goes, but you should be ready for movement in EITHER direction.

In this case, we would set an entry order above the resistance line and below the slope of the higher lows.



In this scenario, the buyers lost the battle and the price proceeded to dive! You can see that the drop was approximately the same distance as the height of the triangle formation.

If we set our short order below the bottom of the triangle, we could've caught some pips off that dive.

Descending Triangle

As you probably guessed, descending triangles are the exact opposite of ascending triangles (we knew you were smart!).

In descending triangle chart patterns, there is a string of lower highs which forms the upper line. The lower line is a support level in which the price cannot seem to break.

In the chart above, you can see that the price is gradually making lower highs which tell us that the sellers are starting to gain some ground against the buyers.

Now most of the time, and we do say MOST, the price will eventually break the support line and continue to fall.

However, in some cases, the support line will be too strong, and the price will bounce off of it and make a strong move up.

The good news is that we don’t care where the price goes. We just know that it’s about to go somewhere.

In this case, we would place entry orders above the upper line (the lower highs) and below the support line.

In this case, the price ended up breaking above the top of the triangle pattern.

After the upside breakout, it proceeded to surge higher, by around the same vertical distance as the height of the triangle.

Placing an entry order above the top of the triangle and going for a target as high as the height of the formation would've yielded nice profits.

"A man can succeed at almost anything for which he has unlimited enthusiasm" *Charles Schwab*

"The man who never makes a mistake always takes orders from one who does" *Daisy Bates*

Know The 3 Main Groups Of Chart Patterns

That's a whole lot of chart patterns we just taught you right there. We're pretty tired so it's time for us to take off and leave it to you from here…

Just playing! We are not leaving you till you're ready!

In this section, we'll discuss a bit more how to use these chart patterns to your advantage.

It's not enough to just know how the tools work; we've got to learn how to use them. And with all these new weapons in your arsenal, we'd better get those profits fired up!

Let's summarize the chart patterns we just learned and categorize them according to the signals they give.

Reversal Chart Patterns

Reversal patterns are those chart formations that signal that the ongoing trend is about to change course.

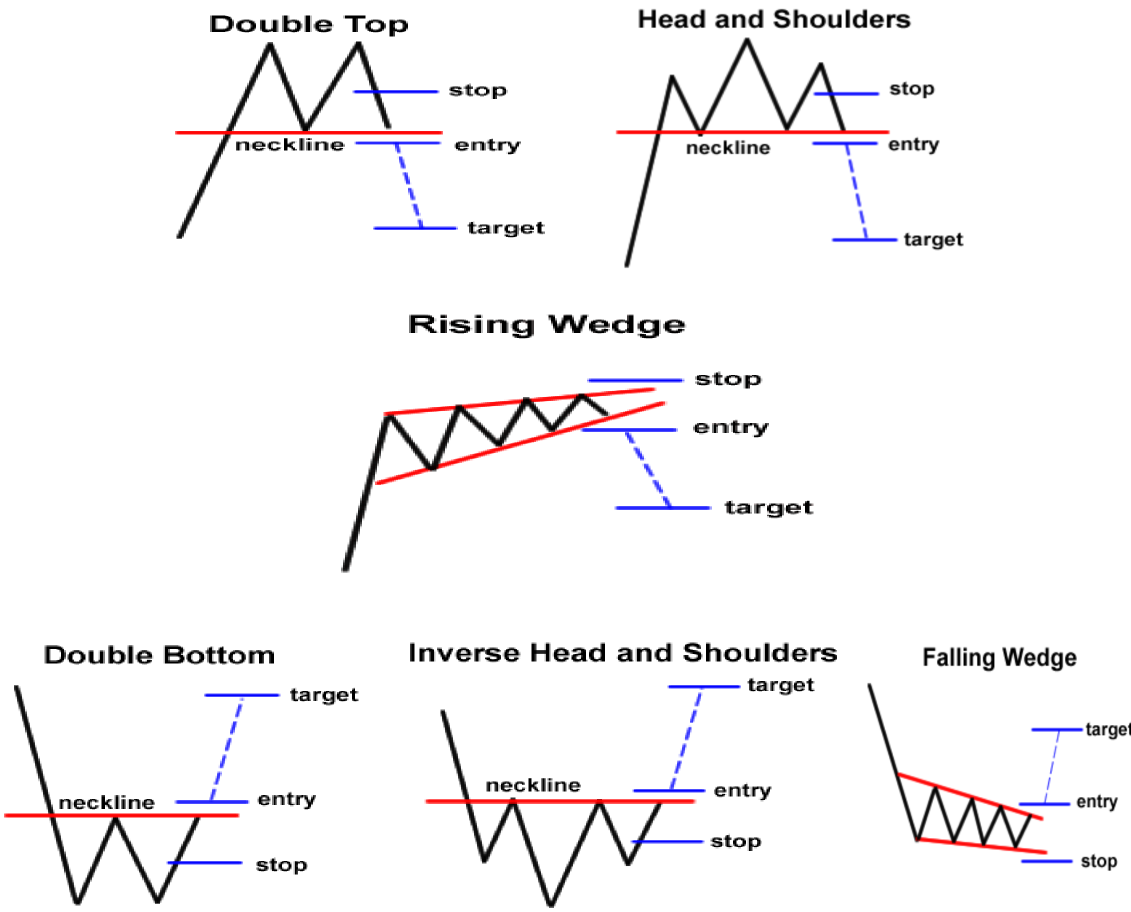
If a reversal charts pattern forms during an uptrend, it hints that the trend will reverse and that the price will head down soon.

Conversely, if a reversal chart pattern is seen during a downtrend, it suggests that the price will move up later on.

In this lesson, we covered six chart patterns that give reversal signals. Can you name all six of them?

1. Double Top
2. Double Bottom
3. Head and Shoulders
4. Inverse Head and Shoulders
5. Rising Wedge
6. Falling Wedge

If you got all six rights, brownie points for you!



To trade these chart patterns, simply place an order beyond the neckline and in the direction of the new trend. Then go for a target that’s almost the same as the height of the formation.

For instance, if you see a double bottom, place a long order at the top of the formation’s neckline and go for a target that’s just as high as the distance from the bottoms to the neckline.

In the interest of proper risk management, don’t forget to place your stops! A reasonable stop loss can be set around the middle of the chart formation.

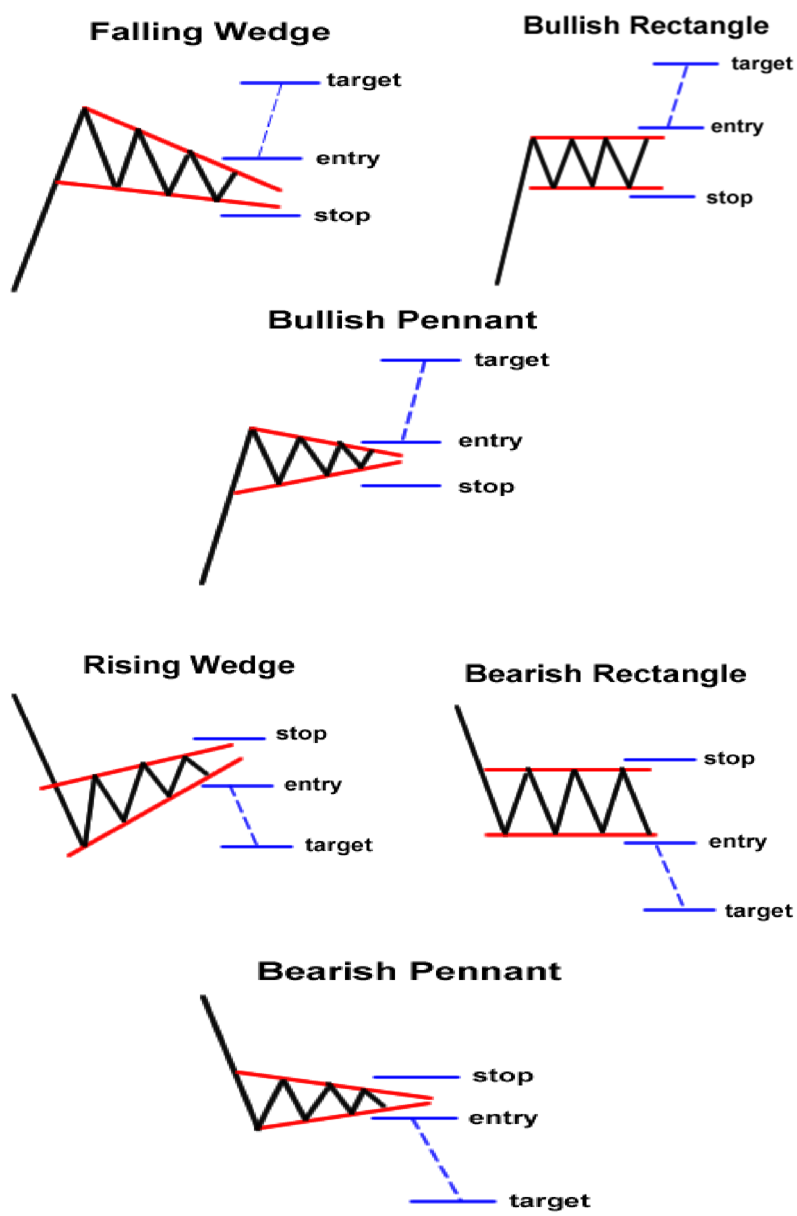
For example, you can measure the distance of the double bottoms from the neckline, divide that by two, and use that as the size of your stop.

Continuation Chart Patterns

Continuation chart patterns are those chart formations that signal that the ongoing trend will resume.

Usually, these are also known as **consolidation patterns** because they show how buyers or sellers take a quick break before moving further in the same direction as the prior trend.

We’ve covered several continuation chart patterns, namely the wedges, rectangles, and pennants. Note that wedges can be considered either reversal or continuation patterns depending on the trend on which they form.



To trade these patterns, simply place an order above or below the formation (following the direction of the ongoing trend, of course). Then go for a target that's at least the size of the chart pattern for wedges and rectangles.

For pennants, you can aim higher and target the height of the pennant's mast.

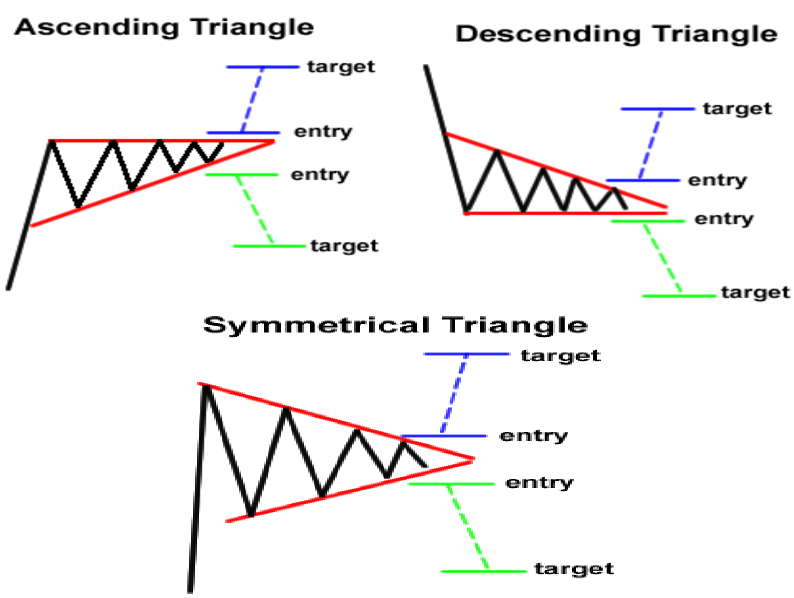
For continuation patterns, stops are usually placed above or below the actual chart formation.

For example, when trading a bearish rectangle, place your stop a few pips above the top or resistance of the rectangle.

Bilateral Chart Patterns

Bilateral chart patterns are a bit trickier because these signal that the price can move either way.

Huh, what kind of a signal is that?!
This is where triangle formations fall in. Remember when we discussed that the price could break either to the topside or downside with triangles?



To play these chart patterns, you should consider both scenarios (upside or downside breakout) and place one order on top of the formation and another at the bottom of the formation.

If one order gets triggered, you can cancel the other one. Either way, you'd be part of the action.

Double the possibilities, double the fun!

The only problem is that you could catch a false break if you set your entry orders too close to the top or bottom of the formation.

So be careful and don't forget to place your stops too!

"A man is a success if he gets up in the morning and goes to bed at night and in between does what he wants to do" *Bob Dylan*

"The great pleasure in life is doing what people say you cannot do" *Walter Bagehot*

Forex Chart Patterns Cheat Sheet

Like we promised, here's a neat little cheat sheet to help you remember those entire forex chart patterns and what they are signaling.

We've listed the basic forex chart patterns, when they are formed, what type of signal they give, and what the next likely price move may be. Check it out!

CHART PATTERN	FORM DURING	SIGNAL TYPE	NEXT MOVE
Double Top	Uptrend	Reversal	Down
Double Bottom	Downtrend	Reversal	Up
Head &Shoulder	Uptrend	Reversal	Down
Inverse Head & Shoulder	Downtrend	Reversal	Up
Rising Wedge	Downtrend	Continuation	Down
Rising Wedge	Uptrend	Reversal	Down
Falling Wedge	Uptrend	Continuation	Up
Falling Wedge	Downtrend	Reversal	Up
Bearish Rectangle	Downtrend	Continuation	Down
Bullish Rectangle	Uptrend	Continuation	Up
Bearish Pennant	Downtrend	Continuation	Down
Bullish Pennant	Uptrend	Continuation	Up

You also might want to add this page to your bookmarks in case you need to double-check those chart patterns' signals before you risk your hard-earned cash on a trade.

You never know when you're going to need the cheat, hah! Asterisk this page!

And as you probably noticed, we didn't include the triangle formations (symmetrical, ascending, and descending) in this cheat sheet.

That's because these chart patterns can form either in an uptrend or downtrend, and can signal either a continuation or reversal.

Confusing I know, but that's where practice and experience comes in!

Like we mentioned, it's tough to tell where the forex market will breakout or reverse.

So what’s important is that you prepare well and have your entry/exit orders ready so that you can be part of the action either way!

Quiz Time!

“Aerodynamically the bumblebee shouldn't be able to fly, but the bumblebee doesn't know that so it goes on flying anyway”. *Mary Kay Ash*

Forex Pivot Points

Professional forex traders and market makers use **pivot points** to identify potential support and resistance levels.

Simply put, a pivot point and its support/resistance levels are areas at which the direction of price movement can possibly change.

The reason why pivot points are so enticing?
It’s because they are **OBJECTIVE**.

Unlike some of the other indicators that we’ve taught you about already, there’s no discretion involved.

In many ways, forex pivot points are very similar to Fibonacci levels. Because so many people are looking at those levels, they almost become self-fulfilling.

The major difference between the two is that with Fibonacci, there is still some subjectivity involved in picking Swing Highs and Swing Lows.

With pivot points, forex traders typically use the same method for calculating them.

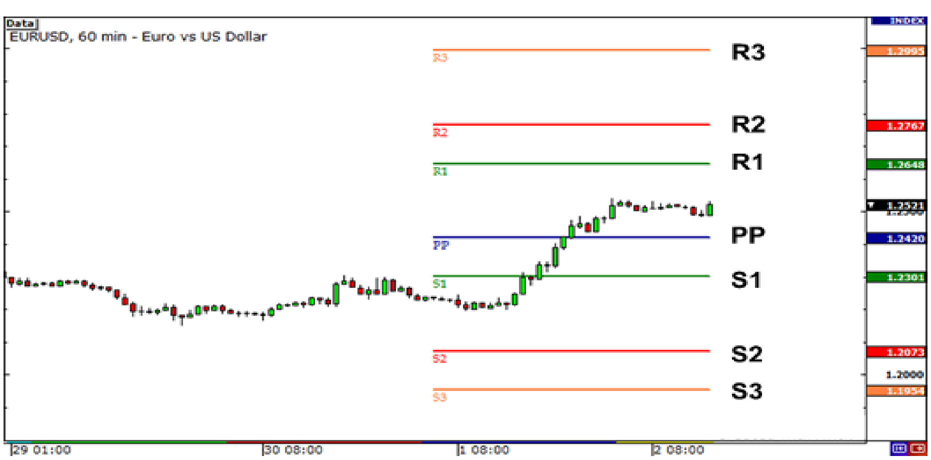
Many traders keep an eye on these levels and you should too.

Pivot points are especially useful to short-term traders who are looking to take advantage of small price movements.

Just like normal support and resistance levels, forex traders can choose to trade the *bounce* or the *break* of these levels.
Range-bound traders use pivot points to identify reversal points. They see pivot points as areas where they can place their buy or sell orders.

Breakout forex traders use pivot points to recognize key levels that need to be broken for a move to be classified as a real deal breakout.

Here is an example of pivot points plotted on a 1-hour EUR/USD chart:



As you can see here, horizontal support and resistance levels are placed on your chart. And look – they're marked out nicely for you! How convenient is that?!

Pivot Point Lingo

Here's quick rundown on what those acronyms mean:
PP stands for Pivot Point.
S stands for Support.
R stands for Resistance.

But don't get too caught up in thinking "S1 has to be support" or "R1 has to be resistance." We'll explain why later.

In the following lessons, you will learn how to calculate forex pivot points, the different types of pivot points and most importantly, how you can add pivot points to your forex trading toolbox!

"If you go to work on your goals, your goals will go to work on you. If you go to work on your plan, your plan will go to work on you. Whatever good things we build end up building us" *Rohn Jim*

How To Calculate Pivot Points

The first thing you're going to learn is how to calculate pivot point levels.

The pivot point and associated support and resistance levels are calculated by using the last trading session's open, high, low, and close.

Since forex is a 24-hour market, most forex traders use the New York closing time of 4:00pm EST as the previous day's close.

Pivot Point Calculation

The calculation for a pivot point is shown below:

Pivot point (PP) = (High + Low + Close) / 3

Support and resistance levels are then calculated off the pivot point like so:

First level support and resistance:

First resistance (R1) = (2 x PP) – Low
First support (S1) = (2 x PP) – High

Second level of support and resistance:

Second resistance (R2) = PP + (High – Low)
Second support (S2) = PP – (High – Low)

Third level of support and resistance:

Third resistance (R3) = High + 2(PP – Low)
Third support (S3) = Low – 2(High – PP)

Keep in mind that some forex charting software plot intermediate levels or mid-point levels.

These are basically *mini levels* between the main pivot point and support and resistance levels.

If you hated algebra, have no fear because you don't have to perform these calculations yourself.

Most charting software will automatically do this for you. Just make sure you configure your settings so that it uses the correct closing time and price.

We here at the College also have our Pivot Point Calculator!

The forex pivot point calculator can come in handy, especially if you want to do a little back testing to see how pivot point levels have held up in the past.

Remember, one of the advantages of using pivot points is that it is objective, so it's very easy to test how price reacted to them.

Next up, we'll teach you the various ways in which you can incorporate pivot points into your forex trading strategy.

"The secret to achieve true success is found in your daily routine" *Origin Unknown*

How To Use Pivot Points For Range Trading

The simplest way to use pivot point levels in your forex trading is to use them just like your regular support and resistance levels.

Just like good ole support and resistance, price will test the levels repeatedly.

The more times a currency pair touches a pivot level then reverses, the stronger the level is.
Actually, "pivoting" simply means reaching a support or resistance level and then reversing.

If you see that a pivot level is holding, this could give you some good trading opportunities.

- If price is nearing the upper **resistance level,** you could SELL the pair and place a stop just above the resistance.
- If price is nearing a **support level**, you could BUY and put your stop just below the level.

See? Just like your regular support and resistance! Nothing hard about that!

Let's take a look at an example so you can visualize this. Here's a 15-minute chart of GBP/USD.

In the chart above, you see that price is testing the S1 support level. If you think it will hold, what you can do is buying at market and then put a stop loss order past the next support level.

If you're conservative, you can set a wide stop just below S2. If price reaches past S2, chances are it won't be coming back up, as both S1 and S2 could become resistance levels.

If you're a little more aggressive and confident that support at S1 would hold, you can set your stop just below S1.

As for your take profit points, you could target PP or R1, which could also provide some sort of resistance. Let's see what happened if you bought at market.

And bam! Looks like S1 held as support! What's more, if you had targeted PP as your take profit point, you would have hit your PT! Woohoo! Ice cream and pizza for you!

Of course, it ain't always that simple. You shouldn't rely only on the pivot point levels. You should note whether pivot point levels line up with former support and resistance levels.

You can also incorporate candlestick analysis and other types of indicators to help give you more confirmation.

For example, if you see that a doji has formed over S1, or that the stochastic is indicating oversold conditions, then the odds are higher that S1 will hold as support.

Also, most of the time, trading normally takes place between the first support and resistance levels.

Occasionally, price will test the second levels and every once in a while, the third levels will be tested.

Lastly, you should also fully understand that sometimes, price will just break through all the levels like how Rafael Nadal breezes through the competition on clay courts.

What will you do when that happens?

Continue to hold onto your trade and be a sucker and watch your account dwindle away? Or will you take advantage and get back some pips?

In the next lesson, we'll teach you how to take advantage when these levels break down.

"The great pleasure in life is doing what people say you cannot do" *Walter Bagehot*

How To Use Pivot Points To Trade Breakouts

Just like your normal support and resistance levels, pivot point levels won't hold forever.

Using pivot points for range trading will work, but not all the time. In those times that these levels fail to hold, you should have some tools ready in your forex toolbox to take advantage of the situation!

As we showed you earlier, there are two main ways to trade breakouts: **the *aggressive* way or the *safe* way**.

Either method will work just fine. Just always remember that if you take the safe way, which means waiting for a retest of support or resistance, you may miss out on the initial move.

Using Pivot Points to Trade Potential Breakouts

Let's take a look at a chart to see potential breakout trades using pivot points. Below is a 15-minute chart of EUR/USD.

Here we see EUR/USD made a strong rally throughout the day. We see that EUR/USD opened by gapping up above the pivot point. Price made a strong move up, before pausing slightly at R1.

Eventually, resistance broke and the pair jumped up by 50 pips!

If you had taken the aggressive method, you would have caught the initial move and been celebrating like you just won the World Cup.

On the other hand, if you had taken the safe way and waited for a retest, you would have been one sad little trader. The price did not retest after breaking R1. In fact, the same thing happened for both R1 and R2!

Notice how EUR/USD bulls tried to make a run for R3 as well.

However, if you had taken the aggressive method, you would have gotten caught up in a fake out as the price failed to sustain the initial break. If your stop was too tight, then you would have gotten stopped out.

Later on though, you'll see that the price eventually broke through. Notice how there was also a retest of the broken resistance line.

Also, observe how when the pair reversed later in the day and broke down past R3. There was an opportunity to take a short on the retest of resistance-turned-support-turned resistance (read that again if you have to!).

"Role Reversal"

Remember that, when support levels break, they usually turn into resistance levels.

This concept of "**role reversal**" also applies for broken resistance levels which become support levels. These would have been good opportunities to take the "I think I'll play it safe" method.

Where do you place stops and pick targets with breakouts?

One of the difficult things about taking breakout trades is picking a spot to place your stop.

Unlike range trading where you are looking for breaks of pivot point support and resistance levels, you are looking for strong fast moves.

Once a level breaks, in theory, that level will likely become "support-turned-resistance" or "resistance-turned-support." Again, this is called a *role reversal*…since the roles have been reversed.

If you were going long and price broke R1, you could place your stop just below R1.

Let's go back to that EUR/USD chart to see where you could place your stops.
As for setting targets, you would typically aim for the next pivot point support or resistance level as your take profit point.

It's very rare that price will break past all the pivot point levels, unless a big economic event or surprise news comes out.

Let's go back to that EUR/USD chart to see where you would put those stops and take profit.

In this example, once you saw price break R1, you would have set your stop just below R1.
If you believed that price would continue to rise, you could keep your position and move your stop manually to see if move would continue.

You'd have to watch carefully and adjust accordingly. You'll learn more about this in later lessons.

As with any method or indicator, you have to be aware of the risks with taking breakout trades.

First of all, you have no idea whether or not the move will continue. You might enter thinking that price will continue to rise, but instead, you catch a top or bottom, which means that you've been faked out!

Second, you won't be sure if it's a true breakout or just wild moves caused by the release of important news.

Spikes in volatility are a common occurrence during news events, so be sure to keep up with breaking news and be aware of what's on the economic calendar for the day or week.
Lastly, just like in range trading, it would be best to pop on other key support and resistance levels.

You might be thinking that R1 is breaking, but you failed to notice a strong resistance level just past R1.

Price may break past R1, test the resistance and just fall back down.

You should make use of your forex knowledge of support and resistance, candlestick patterns, and momentum indicators to help you give stronger signals as to whether the break is for real or not.

"Someone's sitting in the shade today because someone planted a tree a long time ago". *Warren Buffett*

How To Use Pivot Points To Measure Market Sentiment

There is one other way to incorporate pivot points into your forex trading strategy, and that's to use it to gauge **market sentiment**.

What this means is that you can tell whether traders are more inclined to buy or sell the pair.

All you would need to do is to keep an eye on the pivot point. You could treat it like the 50-yard line of a football field.

Depending on which side the ball (in this case, price) is on, you can tell whether buyers or sellers have the upper hand.

If the price breaks through the pivot point to the top, it's a sign that traders are bullish on the pair and you should start buying the pair like it's a Krispy Kreme donut.

Here's an example of what happened when the price stayed above the pivot point.

In this example, we see that EUR/USD gapped up and opened above the pivot point.

The price then raised higher and higher, breaking through all the resistance levels.

Now, if price breaks through the pivot point to the bottom, then you should start selling the pair like its Enron stock.

The price being below the pivot point would signal bearish sentiment and those sellers could have the upper hand for the trading session.

Let’s take a look at a chart of GBP/USD.

In the chart above, we see that the price tested the pivot point, which held as a resistance level. Next thing you know, the pair keeps going lower and lower.

If you had taken the clue that price remained below the pivot point and sold the pair, you would have made some nice moolah. GBP/USD dropped almost 300 pips!

Of course, it doesn’t always work out like this.

There are times when you think that forex traders are bearish on a pair, only to see that the pair reverses and breaks through to the top!

In this example, if you saw price breaking lower from the pivot point and sold, you would have had a sad, sad day. Later

Later on, during the European session, EUR/USD popped higher, eventually breaking through the pivot point. What's more, the pair stayed above the pivot point, showing how buyers were rockin' away.

The lesson here?
Traders are fickle!

How forex traders feel about a currency can shift dramatically day to day, even session to session.
This is why you cannot simply buy when price is above the pivot point or sell when it is below it. Instead, if you choose to use pivot point analysis in this way, you should combine it with other indicators to help you determine overall market sentiment.

"You cannot discover new oceans unless you have the courage to lose sight of the shore" *Origin Unknown*

Know the 3 Other Types of Pivot Points

While we suggest that you stick to the standard method of calculating pivot points, you should know that there are other ways to calculate for pivot points.

In this lesson, we will talk about these other methods, as well as give you the formulas on how to calculate for these levels.

Woodie Pivot Point

R2 = PP + High – Low

R1 = (2 X PP) – Low

PP = (H + L + 2C) / 4

S1 = (2 X PP) – High

S2 = PP – High + Low

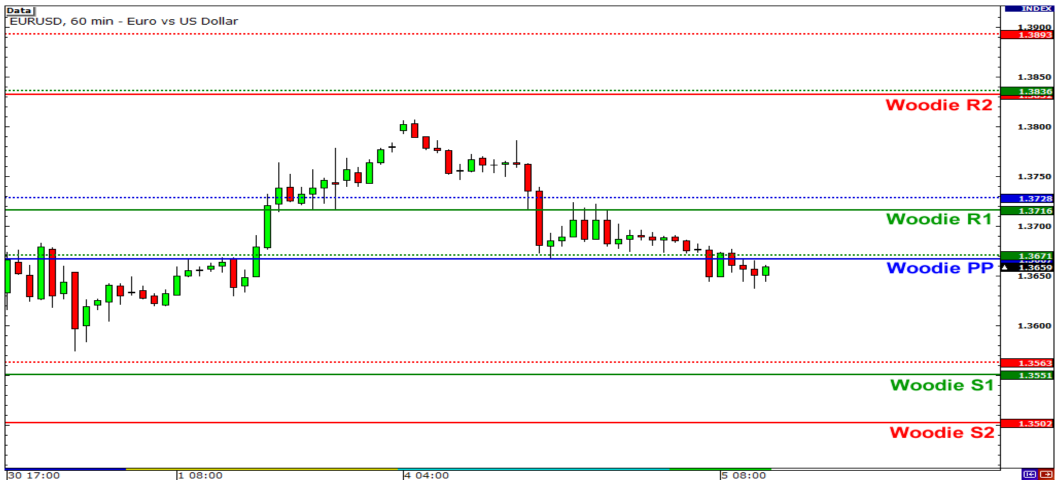
C – Closing Price, H – High, L – Low

In the formulas above, you'll notice that the pivot point calculation is very different from the standard method.

Also, in order to calculate for the corresponding support and resistance levels, you would use the difference between the previous days' high and low, otherwise known as the range.

Here's a chart example of the Woodie pivot point calculation applied on EURUSD.

The Woodie pivot point, support levels, and resistance levels are the solid lines while the dotted lines represent the levels calculated through the standard method.



Because they have different formulas, levels obtained through the Woodie calculations are very different from those gotten through the standard method.

Some traders prefer to use the Woodie formulas because they give more weight to the closing price of the previous period.

Others prefer the standard formulas because many traders make use of those, which could make them self-fulfilling.

In any case, since resistance turns into support (and vice versa), if you choose to use the Woodie formulas, you should keep an eye on these levels as they could become areas of interest. Whatever floats your boat!

Camarilla Pivot Point

R4 = C + ((H-L) x 1.5000)

R3 = C + ((H-L) x 1.2500)

R2 = C + ((H-L) x 1.1666)

R1 = C + ((H-L) x 1.0833)

PP = (H + L + C) / 3

S1 = C – ((H-L) x 1.0833)

S2 = C – ((H-L) x 1.1666)

S3 = C – ((H-L) x 1.2500)

S4 = C – ((H-L) x 1.5000)

C – Closing Price, H – High, L – Low

The Camarilla formulas are similar to the Woodie formula. They also use the previous day's close and range to calculate the support and resistance levels.

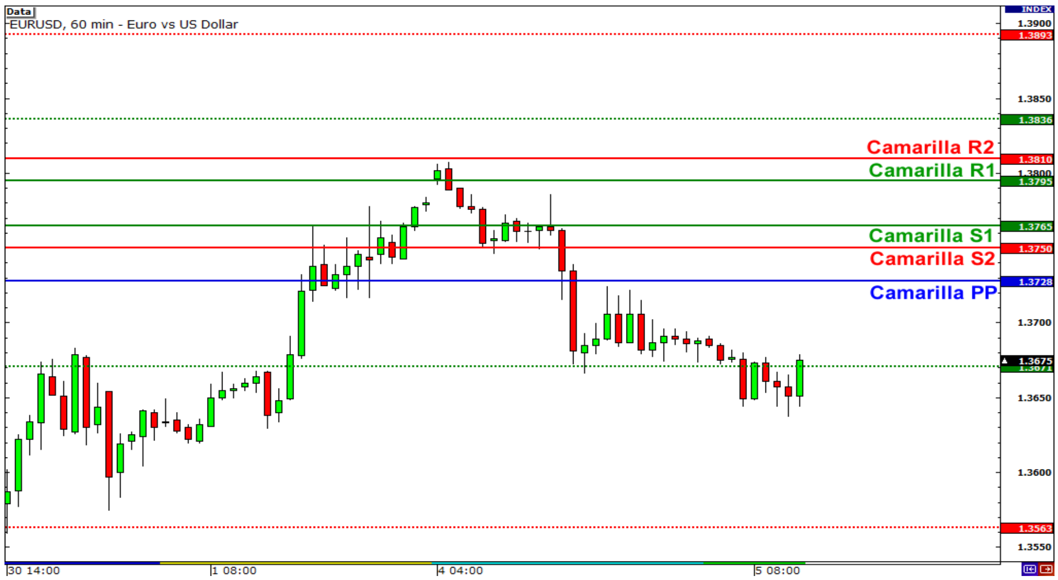
The only difference is that you should calculate for 8 major levels (4 resistance and 4 support), and each of these levels should be multiplied by a multiplier.

The main concept of Camarilla pivot points is that it is based on the idea that price has a natural tendency to revert back to the mean (sound familiar?), or in this case, the previous day's close.

The idea is that you should buy or sell when price reaches either the third support or resistance level.

However, if price were to burst through S4 or R4, it would mean that the intraday trend is strong, and it's about time you jump on that bandwagon!

Check out how the Camarilla calculation gives different levels (solid lines) compared to the standard method's levels (dotted lines)!



As you can see from the chart above, **more emphasis is given to the closing price as opposed to the pivot point**.
Because of this, it's possible that resistance levels could be below the pivot point or support levels could be above it.
See how all the support and resistance levels are above the Camarilla pivot point.

Fibonacci Pivot Point

R3 = PP + ((High – Low) x 1.000)

R2 = PP + ((High – Low) x .618)

R1 = PP + ((High – Low) x .382)

PP = (H + L + C) / 3

S1 = PP – ((High – Low) x .382)

S2 = PP – ((High – Low) x .618)

S3 = PP – ((High – Low) x 1.000)

C – Closing Price, H – High, L – Low

Fibonacci pivot point levels are determined by first calculating the pivot point like you would the standard method.

Next, multiply the previous day's range with its corresponding Fibonacci level. Most traders use the 38.2%, 61.8% and 100% retracements in their calculations.

Finally, add or subtract the figures you get to the pivot point and voila, you've got your Fibonacci pivot point levels!

Look at the chart below to see how the levels calculated through the Fibonacci method (solid lines) differ from those calculated through the standard method (dotted lines).

The logic behind this is that many traders like using the Fibonacci ratios. People use it for retracement levels, moving averages, etc.

Why not use it for pivot points as well?

Remember that both Fibonacci and pivot points levels are used to find support and resistance. With so many traders looking at these levels, they can actually become self-fulfilling.

Which pivot point method is best?

The truth is, just like all the variations of all the other indicators that you've learned so far, there is no single best method.

It really all depends on how you combine your knowledge of pivot points with all the other tools in your forex trading toolbox.

Just know that most charting software that do automatic calculations normally use the standard method in calculating for the pivot point levels.

But now that you know how to calculate for these levels on your own, you can give them all a swing and see which one works best for you. Pivot away!

"Destiny is no matter of chance. It is a matter of choice. It is not a thing to be waited for; it is a thing to be achieved". *William Jennings Brya*

Summary: Pivot Points

Here are some easy-to-memorize tips that will help you to make smart pivot point trading decisions:

Pivot points are a technique used by forex traders to help determine potential support and resistance areas.

There are four main ways to calculate for pivot points:

1. Standard
2. Woodie
3. Camarilla
4. Fibonacci.

Pivots can be extremely useful in forex since many currency pairs usually fluctuate between these levels. Most of the time, price ranges between R1 and S1.

Pivot points can be used by range, breakout, and trend traders.

- Range-bound forex traders will enter a buy order near identified levels of support and a sell order when the pair nears resistance.
- Pivot points also allow breakout forex traders to identify key levels that need to be broken for a move to qualify as a strong momentum move.
- Sentiment (or trend) forex traders use pivot points to help determine the bullishness or bearishness of a currency pair.

The simplicity of pivot points definitely makes them a useful tool to add to your trading toolbox.

It allows you to see possible areas that are likely to cause price movement.

You'll become more in sync to market movements and make better trading decisions.

Using pivot point analysis alone is not always enough. Learn to use pivot points along with other technical analysis tools such as candlestick patterns, MACD crossover, moving averages crossovers, the stochastic, RSI, etc.

The greater the confirmation, the greater your probability of a successful trade!

Quiz Time!

"If at first you don't succeed, try again" *W.C. Fields*

Elliott Wave Theory

Back in the old school days of the 1920-30s, there was this mad genius and professional accountant named **Ralph Nelson Elliott**.

By analyzing closely 75 years worth of stock data, Elliott discovered that stock markets, thought to behave in a somewhat chaotic manner, actually didn't.

When he hit 66 years old, he finally gathered enough evidence (and confidence) to share his discovery with the world.

He published his theory in the book entitled *The Wave Principle*.

According to him, the market traded in repetitive cycles, which he pointed out were the emotions of investors caused by outside influences (Ahem, CNBC, Bloomberg, ESPN) or the predominant psychology of the masses at the time.

Elliott explained that the upward and downward swings in price caused by the collective psychology always showed up in the same repetitive patterns.

He called these upward and downward swings “waves”.

He believes that, if you can correctly identify the repeating patterns in prices, you can predict where price will go (or not go) next.

This is what makes Elliott waves so appealing to traders.

It gives them a way to identify precise points where price is most likely to reverse.

In other words, Elliott came up with a system that enables traders to catch tops and bottoms.

So, amidst all the chaos in prices, Elliott found order. Awesome, huh?

Of course, like all mad geniuses, he needed to claim this observation and so he came up with a super original name: **The Elliott Wave Theory**.

But before we delve into the Elliott waves, you need to first understand what **fractals** are.

Fractals

Basically, fractals are structures that can be split into parts, each of which is a very similar copy of the whole. Mathematicians like to call this property "self-similarity".

You don't need to go far to find examples of fractals. They can be found all over nature!

A sea shell is a fractal. A snow flake is a fractal. A cloud is a fractal. Heck, a lightning bolt is a fractal.

So why are fractals important?

One important quality of Elliott waves is that they are fractals, much like sea shells and snowflakes. Elliott waves could be further subdivided into smaller Elliot waves.

Ready to be an Elliottician now? Read on!

“A bank is a place that will lend you money if you prove that you don't need it” *Bob Hope*

Impulse Waves

Mr. Elliott showed that a trending market moves in what he called a 5-3 wave pattern.

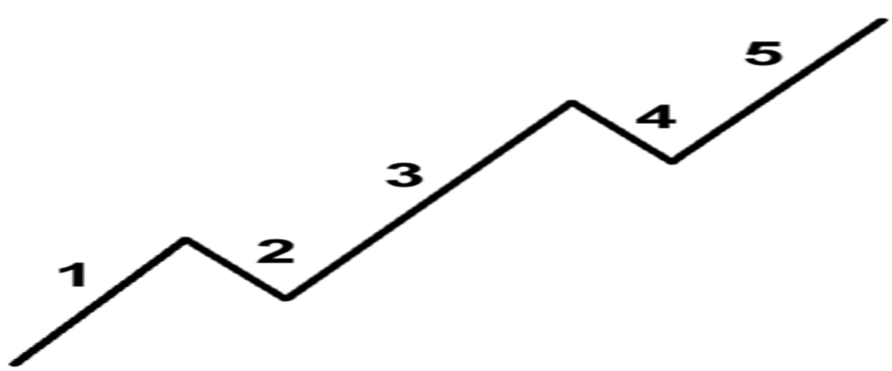
The first 5-wave pattern is called **impulse waves**.

The last 3-wave pattern is called **corrective waves**.

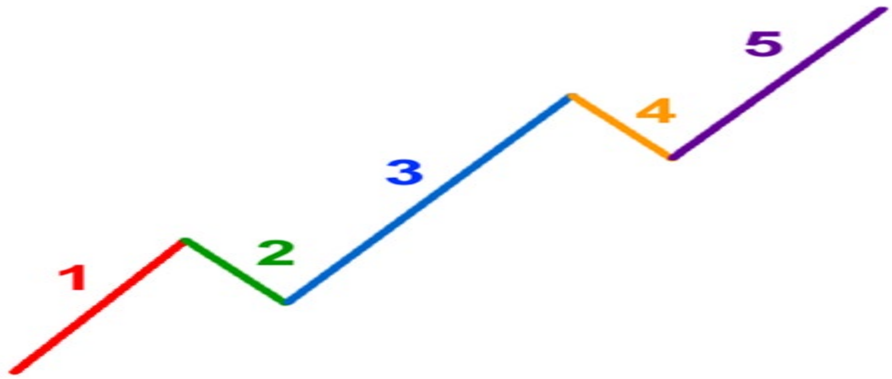
In this pattern, Waves 1, 3, 5 are **motive**, meaning they go along with the overall trend, while Waves 2 and 4 are **corrective**.

Do not confuse Waves 2 and 4 with the ABC corrective pattern (discussed in the next section) though!

Let’s first take a look at the 5-wave impulse pattern. It’s easier if you see it as a picture:



That still looks kind of confusing. Let’s splash some color on this bad boy.



Ah, magnificent! It's so pretty! We like colors, so we've color-coded each wave along with its wave count.

Here is a short description of what happens during each wave.

We're going to use stocks for our example since stocks are what Mr. Elliott used but it really doesn't matter what it is. It can easily be currencies, bonds, gold, oil, or Tickle Me Elmo dolls.

The important thing is the Elliott Wave Theory can also be applied to the foreign exchange market.

Wave 1

The stock makes its initial move upwards.

This is usually caused by a relatively **small number of people** that all of the sudden (for a variety of reasons, real or imagined) feel that the price of the stock is cheap so it's a perfect time to buy. This causes the price to rise.

Wave 2

At this point, enough people who were in the original wave consider the stock overvalued and take profits.

This causes the stock to go down. However, the stock will not make it to its previous lows before the stock is c**onsidered a bargain** again.

Wave 3

This is usually the longest and strongest wave. The stock has caught the attention of the **mass public**.

More people find out about the stock and want to buy it. This causes the stock's price to go higher and higher. This wave usually exceeds the high created at the end of wave 1.

Wave 4

Traders take profits because the stock is considered expensive again.

This wave tends to be weak because there are usually more people that are still bullish on the stock and are waiting to "**buy on the dips**."

Wave 5

This is the point that most people get on the stock and is most driven by **hysteria**.

You usually start seeing the CEO of the company on the front page of major magazines as the Person of the Year.

Traders and investors start coming up with ridiculous reasons to buy the stock and try to choke you when you disagree with them.

This is when the stock becomes the most overpriced. Contrarians start shorting the stock which starts the ABC pattern.

Extended Impulse Waves

One thing that you also need to know about the Elliott Wave Theory is that one of the three impulse waves (1, 3, or 5) will always be "extended."

Simply put, **there will always be one wave that is longer than the other two, regardless of degree.**

According to Elliott, it is usually the fifth wave which is extended.

As time went by, this old school style of wave labeling has changed because more and more people started labeling the third wave as the extended one.

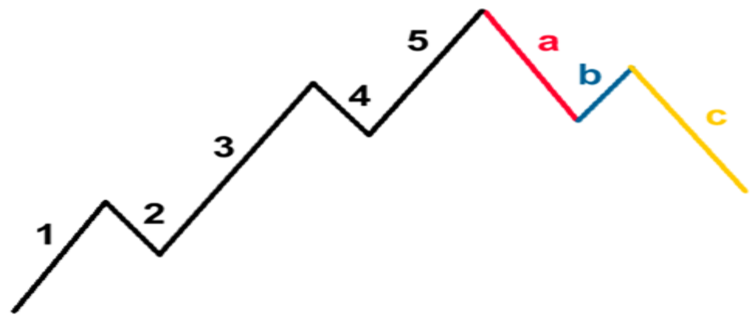
"You only have to do a very few things right in your life so long as you don't do too many things wrong"
Warren Buffett

Corrective Waves

The 5-wave trends are then corrected and reversed by **3-wave countertrends**.

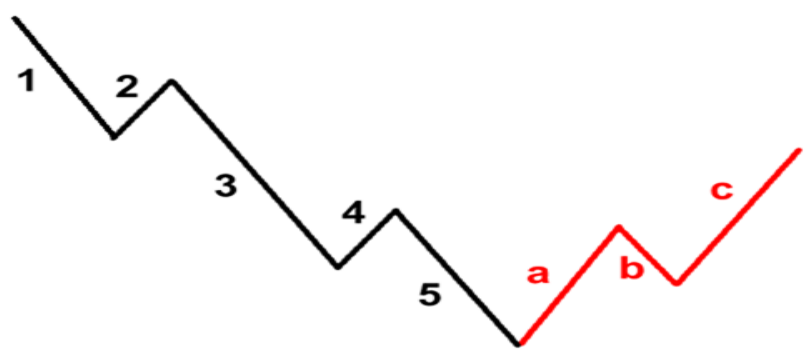
Letters are used instead of numbers to track the correction.

Check out this example of a smoking hot corrective 3-wave pattern!



Just because we've been using a bull market as our primary example doesn't mean the Elliott Wave Theory doesn't work on bear markets.

The same **5-3 wave pattern** can look like this:



Types of Corrective Wave Patterns

According to Elliott, there are 21 corrective ABC patterns ranging from simple to complex.

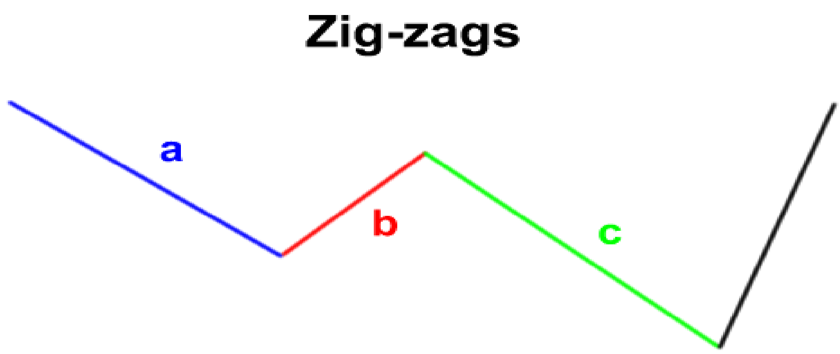
“Uh 21? I can't memorize all of that! The basics of the Elliott Wave Theory are already mind-blowing!”

Take it easy, young padawan. The great thing about Elliott Wave is you don't have to be above the legal drinking age to trade it!

You don't have to get a fake ID or memorize all 21 types of corrective ABC patterns because they are just made up of three very simple easy-to-understand formations.

Let's take a look at these three formations. The examples below apply to uptrend, but you can just invert them if you're dealing with a downtrend.

The Zig-Zag Formation



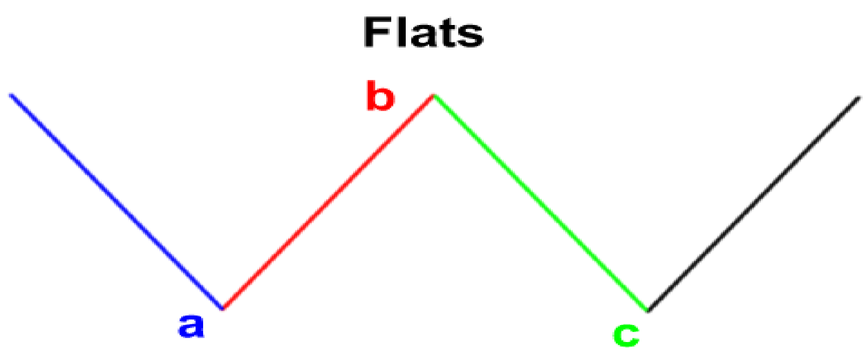
Zig-zag formations are very steep moves in price that goes against the predominant trend.

Wave B is typically shortest in length compared to Waves A& C.

These zig-zag patterns can happen twice or even thrice in a correction (2 to 3 zig-zag patterns linked together).

Like with all waves, each of the waves in zig-zag patterns could be broken up into 5-wave patterns.

The Flat Formation

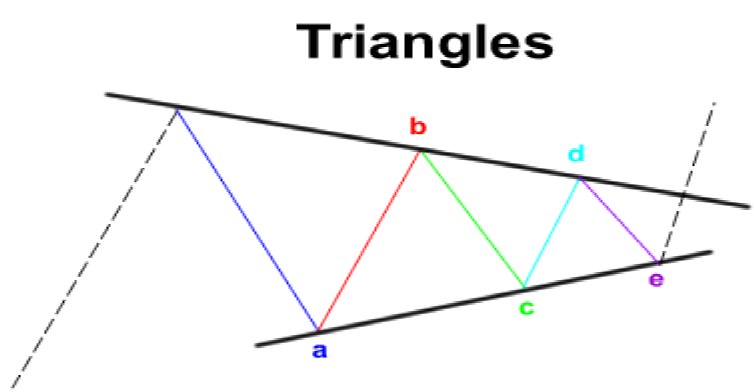


Flat formations are simple sideways corrective waves.

In flats, the lengths of the waves are **GENERALLY** equal in length, with wave B reversing wave A's move and wave C undoing wave B's move.

We say generally because wave B can sometimes go beyond the beginning of wave A.

The Triangle Formation



Triangle formations are corrective patterns that are bound by either converging or diverging trend lines.

Triangles are made up of 5-waves that move against the trend in a sideways fashion. These triangles can be symmetrical, descending, ascending, or expanding.

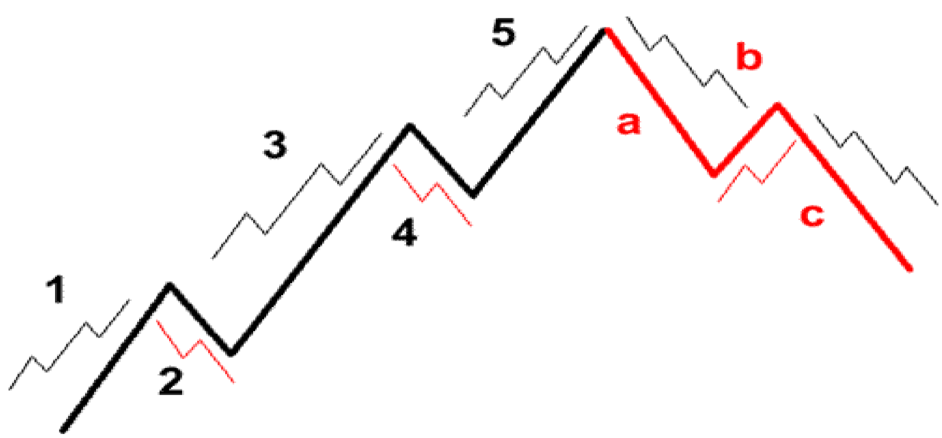
“It is not enough to be busy, so are the ants. The question is, 'What are we busy about?” *Henry David Thoreau*

Fractals: Elliott Waves Within An Elliott Wave

Like we mentioned earlier, Elliott waves are **fractals**.

Each wave is made of sub-waves. Huh?

Let me show you another picture. Pictures are great, aren’t they?



Do you see how Waves 1, 3, and 5 are made up of a smaller 5-wave impulse pattern while Waves 2 and 4 are made up of smaller 3-wave corrective pattern?

You’re seeing fractals!
Always remember that each wave is comprised of smaller wave patterns.

This pattern repeats itself…

FOREVER!

To make it easy to label these waves, the Elliott Wave Theory has assigned a series of categories to the waves in order of the largest to the smallest. They are:

- **Grand Supercycle** (multi-century)
- **Supercycle** (about 40–70 years)
- **Cycle** (one year to several years)
- **Primary** (a few months to a couple of years)
- **Intermediate** (weeks to months)
- **Minor** (weeks)
- **Minute** (days)
- **Minuette** (hours)
- **Sub-Minuette** (minutes)

A Grand Supercycle is made up of Supercycle waves which is made up of Cycle waves which is made up Primary waves, which is made up of Intermediate waves which is made up of Minor waves which is made up of Minute waves which is made up of Minuette waves which is made up of Sub-Minuette waves. Did you get all that?

Okay, to make things much clearer, let's see how an Elliott Wave looks in real life.

As you can see, waves aren't shaped perfectly in real life.
You'll also learn it's sometimes difficult to label waves.

But the more you stare at charts the better you'll get.

Besides, we're not going to let you go at it alone!

In the following sections, we'll give you some tips on how to correctly and easily identify waves as well as teach you how to trade using Elliott Waves. Surf's up!

"Prosperity is a great teacher; adversity is a greater one". *William Hazlitt*

3 Cardinal Rules Of The Elliott Wave Theory

As you may have guessed, the key in using the Elliott Wave Theory in trading is all about being able to **correctly identify waves**.

By developing the right eye in recognizing what wave the market is in, you will be able to find out which side of the market to trade on, long or short.

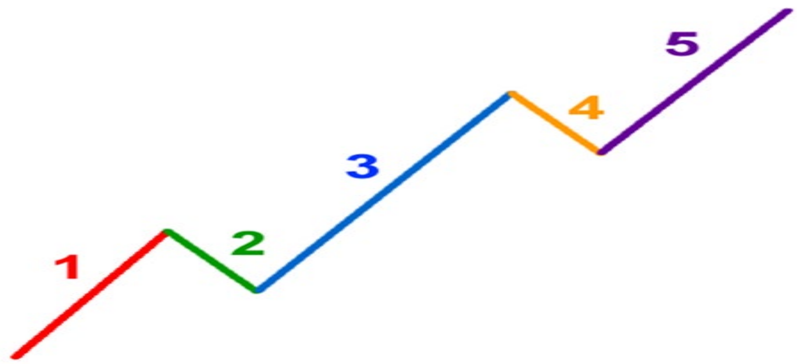
There are THREE cardinal “cannot-be-broken” rules in labeling waves.

So, before you jump right into applying the Elliott Wave Theory to your trading, you must take note of the rules below.

Failing to label waves correctly can prove disastrous to your account.

3 Cardinal Rules of the Elliott Wave Theory

Rule Number #1: Wave 3 can NEVER be the shortest impulse wave
Rule Number #2: Wave 2 can NEVER go beyond the start of Wave 1
Rule Number #3: Wave 4 can NEVER cross in the same price area as Wave 1



Elliott Wave Trading Guidelines

Then, there are the guidelines that help you correctly label waves.

Unlike the three cardinal rules, these guidelines can be broken. Here they are:

Sometimes, Wave 5 does not move beyond the end of wave 3. This is called **truncation**.

Wave 5, more often than not, goes beyond or “breaks through” the trend line drawn off Wave 3 parallel to a trend line connecting the start of Waves 3 and 5.

Wave 3 tends to be very long, sharp and extended.

Waves 2 and 4 frequently bounce off Fibonacci retracement levels.

“Imagination is more important than knowledge”.
Albert Einstein

How To Trade Forex Using Elliott Waves

This is probably what you all have been waiting for – drumroll please – using the **Elliott Wave Theory** in forex trading!

In this section, we will look at some setups and apply our knowledge of Elliott Wave to determine entry, stop loss, and exit points. Surfs up!

Hypothetical, will-most-probably-be-right scenario #1:

Let's say you wanted to begin your wave count. You see that price seems to have bottomed out and has begun a new move upwards.

Using your knowledge of Elliott Wave, you label this move up as Wave 1 and the retracement as Wave 2.

In order to find a good entry point, you head back to the College to find out which of the three cardinal rules and guidelines you could apply. Here's what you found out:

- **Rule Number #2**: Wave 2 can NEVER go beyond the start of Wave 1
- Waves 2 and 4 frequently **bounce off Fibonacci retracement levels**

So, using your superior Elliott Waving trading skills, you decide to pop the Fibonacci tool to see if price is at a Fib level.

Price is just chillin' like ice cream fillin' around the 50% level. Hmm, this could be the start of Wave 3, which is a very strong buy signal.

Since you're a smart forex trader, you also take your stop into consideration.

Cardinal rule number 2 states that Wave 2 can never go beyond the start of Wave 1 so you set your stop below the former lows.

If price retraces more than 100% of Wave 1, then your wave count is wrong.

Let's see what happens next…

Your Elliott Wave analysis paid off and you caught a huge upward move!

You go to Las Vegas (or Macau), overconfident that everything you touch is a winner, blow all your forex profits on roulette, and end right back where you started.

There are no Elliot Waves in a casino.

Lucky for you…we have another hypothetical scenario where you can earn imaginary money again…

Scenario 2:

This time, let's use your knowledge on corrective wave patterns to grab those pips.

You begin counting the waves on a downtrend and you notice that the ABC corrective waves are moving sideways.

Hmm, is this a **flat formation** in the works? This means that price may just begin a new impulse wave once Wave C ends.

Trusting your Elliott Wave skills, you go ahead and sell at market in hopes of catching a new impulse wave.

You place your stop just a couple of pips above the start of Wave 4 just in case your wave count is wrong.

Because we like happy endings, your trade idea works out and nets you a couple thousand pips on this day, which is not always the case.

You have also learned your lesson this time around so you skip Vegas and decide to use your profits to grow your forex trading capital instead.

“Real knowledge is to know the extent of one's ignorance”. *Confucius*

Summary: Elliott Wave Theory

Here’s a summary of what we covered regarding the **Elliott Wave Theory**:

Elliott Waves are fractals.

- Each wave can be split into parts, each of which is a very similar copy of the whole. Mathematicians like to call this property "self-similarity".

A trending market moves in a 5-3 wave pattern.

- The first 5-wave pattern is called **impulse** wave.
- One of the three impulse waves (1, 3, or 5) will always be extended. Wave 3 is usually the extended one.
- The second 3-wave pattern is called **corrective** wave. Letters A, B, and C are used instead of numbers to track the correction.
- Waves 1, 3 and 5, are made up of a smaller 5-wave impulse pattern while Waves 2 and 4 are made up of smaller 3-wave corrective pattern.
- There are 21 types of corrective patterns but they are just made up of three very simple, easy-to-understand formations.
- The three fundamental corrective wave patterns are **zig-zags**, **flats**, and **triangles**.

Three Cardinal Rules

There are three cardinal rules in Elliott Wave Theory when labeling waves:

Rule Number 1: Wave 3 can NEVER be the shortest impulse wave
Rule Number 2: Wave 2 can NEVER go beyond the start of Wave 1

Rule Number 3: Wave 4 can NEVER cross in the same price area as Wave 1

If you look hard enough at a chart, you'll see that the market really does move in waves.

Because the forex market never moves in text book perfect fashion, it will take many, many hours of practice analyzing waves before you start to get comfortable with Elliott waves.

Stay diligent and never give up!

"The beauty of the soul shines out when a man bears with composure one heavy mischance after another, not because he does not feel them, but because he is a man of high and heroic temper"
Aristotle

Harmonic Price Patterns In The Forex Market

Now that you've got the basic chart patterns down, it's time to move on and add some more advanced tools to your forex trading arsenal.

In this lesson, we'll be looking at **harmonic price patterns**.
These bad boys may be a little harder to grasp but once you spot these setups, it can lead to some very nice profits!

The whole idea of these patterns is that they help people spot possible **retracements of recent trends**.
In fact, we'll make use of other tools we've already covered – the Fibonacci retracement and extensions!

Combining these wonderful tools to spot these harmonic price patterns, we'll be able to distinguish possible areas for a **continuation of the overall trend**.
In this lesson, we're going to discuss the following Harmonic Price Patterns:

1. ABCD Pattern
2. Three-Drive Pattern
3. Gartley Pattern
4. Crab Pattern
5. Bat Pattern
6. Butterfly Pattern

Phew! That's quite a lot to cover!
But don't you worry… Once you get the hang of things, it'll be as easy as 1-2-3!

We'll start off with the more basic ABCD and three-drive patterns before moving on to Gartley and the animals.

After learning about them, we'll take a look at the tools you need in order to trade these patterns successfully in the forex market.

For all these harmonic price patterns, the point is to **wait for the entire pattern to complete before taking any short or long trades**.

You'll see what we're talking about later on so let's get started!

"It is only when we realize that life is taking us nowhere that it begins to have meaning" *P.D. Ouspensky*

The ABCD and the Three-Drive

The ABCD

Let's start this lesson with the simplest harmonic pattern. So what could be more basic than the good old ABC's?

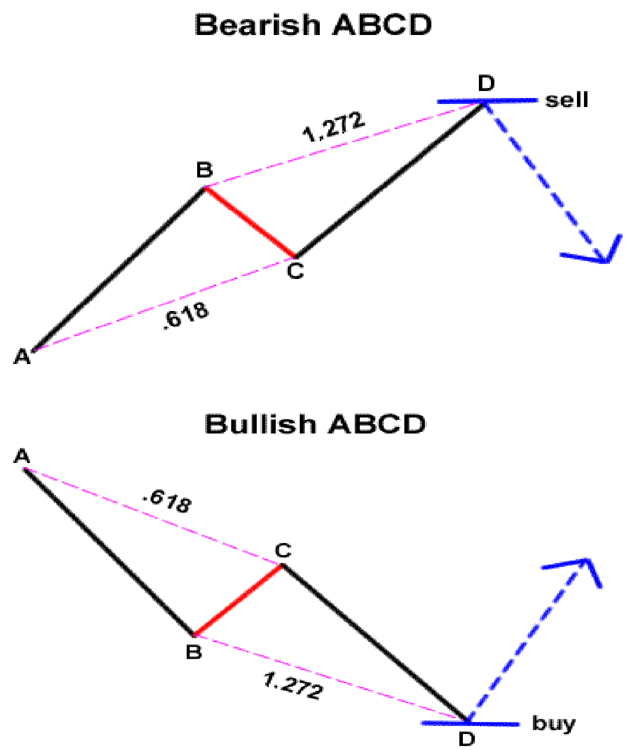
We'll just pop in another letter at the end (because we're cool like that), and we've got the ABCD chart pattern! That was easy!

To spot this chart pattern, all you need are ultra-sharp hawk eyes and the handy-dandy Fibonacci chart tool.

For both the bullish and bearish versions of the ABCD chart pattern, the lines AB and CD are known as the **legs** while BC is called the **correction** or **retracement**.

If you use the Fibonacci retracement tool on leg AB, the retracement BC should reach until the 0.618 level. Next, the line CD should be the 1.272 Fibonacci extension of BC.

Simple, right? All you have to do is waiting for the entire pattern to complete (reach point D) before taking any short or long positions.



Oh, but if you want to be extra strict about it, here are a couple more rules for a valid ABCD pattern:

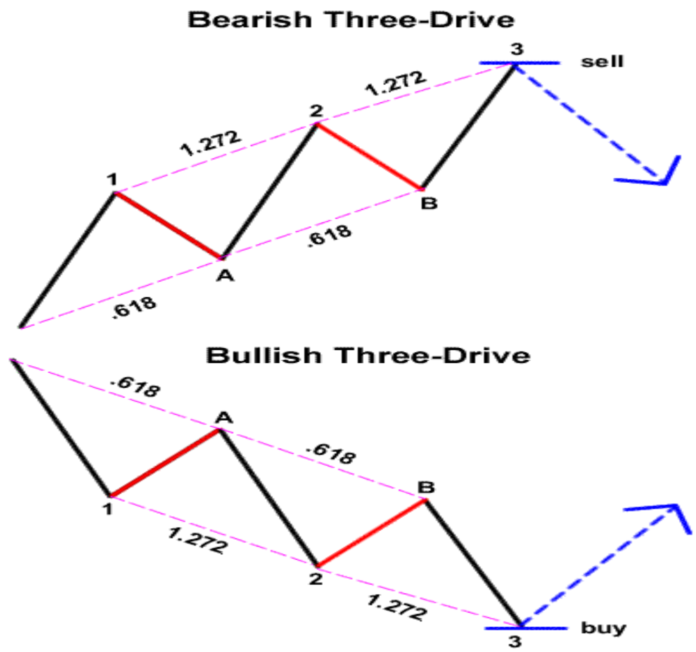
- The length of line AB should be equal to the length of line CD.
- The time it takes for the price to go from A to B should be equal to the time it takes for the price to move from C to D.

Three-Drive

The three-drive pattern is a lot like the ABCD pattern except that it has three legs (now known as drives) and two corrections or retracements.

Easy as pie! In fact, this three-drive pattern is the ancestor of the Elliott Wave pattern.

As usual, you'll need your hawk eyes, the Fibonacci tool, and a smidge of patience on this one.



As you can see from the charts above, point A should be the 61.8% retracement of drive 1. Similarly, point B should be the 0.618 retracement of drive 2.

Then, drive 2 should be the 1.272 extension of correction A and drive 3 should be the 1.272 extension of correction B.
By the time the whole three-drive pattern is complete, that's when you can pull the trigger on your long or short trade.

Typically, when the price reaches point B, you can already set your short or long orders at the 1.272 extension so that you won't miss out!

But first, it'd be better to check if these rules also hold true:

- The time it takes the price to complete drive 2 should be equal to the time it takes to complete drive 3.

- Also, the time to complete retracements A and B should be equal.

"Do the difficult things while they are easy and do the great things while they are small. A journey of a thousand miles must begin with a single step". *Lao Tzu*

Trading the Gartley Pattern

Once upon a time, there was this insanely smart trader dude named **Harold McKinley Gartley.**

He had a stock market advisory service in the mid-1930s with a huge following.

This service was one of the first to apply scientific and statistical methods to analyze the stock market behavior.
According to Gartley, he was finally able to solve two of the biggest problems of traders: **what and when to buy**.

Soon enough, traders realized that these patterns could also be applied to other markets. Since then, various books, trading software, and other patterns (discussed below) have been made based on the Gartleys.

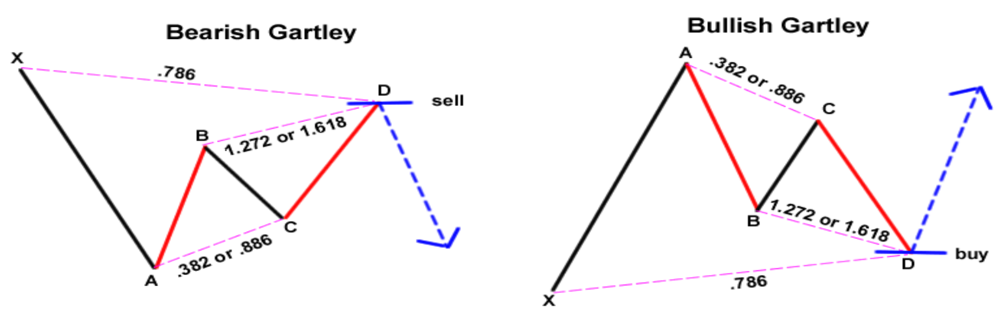
Gartley a.k.a. "222" Pattern

The Gartley "222" pattern is named for the page number it is found on in H.M. Gartleys book, *Profits in the Stock Market*.

Gartleys are patterns that include the basic ABCD pattern we've already talked about, but are preceded by a significant high or low.

Now, these patterns normally form when a correction of the overall trend is taking place and look like 'M' (or 'W' for bearish patterns).

These patterns are used to help traders find good entry points to jump in on the overall trend.



A Gartley forms when the price action has been going on a recent uptrend (or downtrend) but has started to show signs of a correction.

What makes the Gartley such a nice setup when it forms is the reversal points are a Fibonacci retracement and Fibonacci extension level. This gives a stronger indication that the pair may actually reverse.

This pattern can be hard to spot and once you do, it can get confusing when you pop up all those Fibonacci tools. The key to avoiding all the confusion is to take things one step at a time.

In any case, the pattern contains a bullish or bearish ABCD pattern, but is preceded by a point (X) that is beyond point D.

The “perfect” Gartley pattern has the following characteristics:

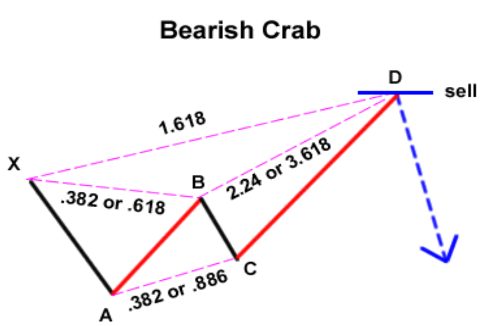
1. Move AB should be the .618 retracement of move XA.
2. Move BC should be either .382 or .886 retracement of move AB.
3. If the retracement of move BC is .382 of move AB, then CD should be 1.272 of move BC. Consequently, if move BC is .886 of move AB, then CD should extend 1.618 of move BC.
4. Move CD should be .786 retracement of move XA

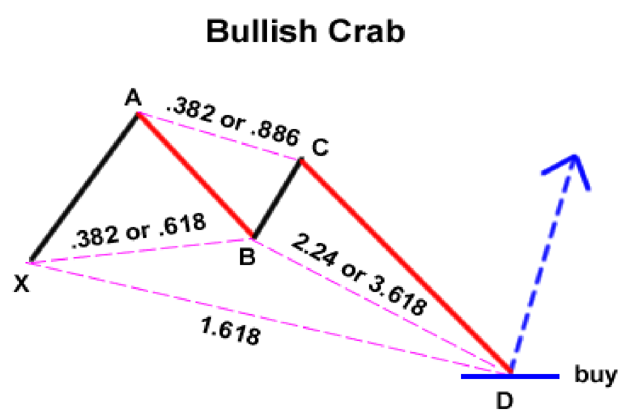
Gartley Mutants: The Animals

As time went by, the popularity of the Gartley pattern grew and people eventually came up with their own variations.

For some odd reason, the discoverers of these variations decided to name them after animals (Maybe they were part of PETA?). Without further ado, here comes the animal pack…

The Crab





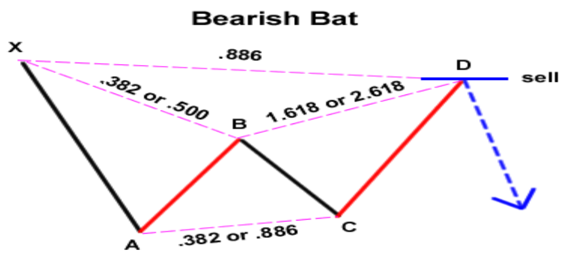
In 2000, Scott Carney, a firm believer in harmonic price patterns, discovered the “**Crab**“.

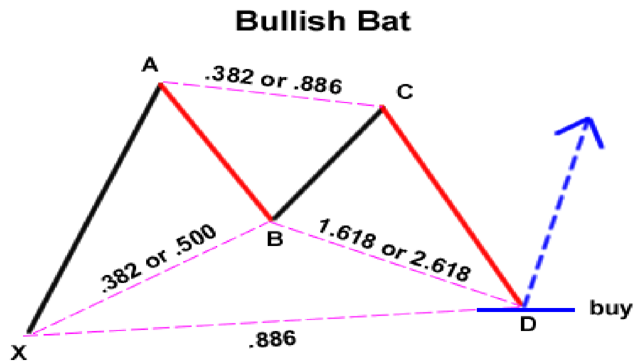
According to him, this is the most accurate among all the harmonic patterns because of how extreme the Potential Reversal Zone (sometimes called “price better reverse or immagonna lose my shirt” point) from move XA.

This pattern has a high reward-to-risk ratio because you can put a very tight stop loss. The “perfect” crab pattern must have the following aspects:

1. Move AB should be the .382 or .618 retracement of move XA.
2. Move BC can be either .382 or .886 retracement of move AB.
3. If the retracement of move BC is .382 of move AB, then CD should be 2.24 of move BC. Consequently, if move BC is .886 of move AB, then CD should be 3.618 extension of move BC.
4. CD should be 1.618 extension of move XA.

The Bat



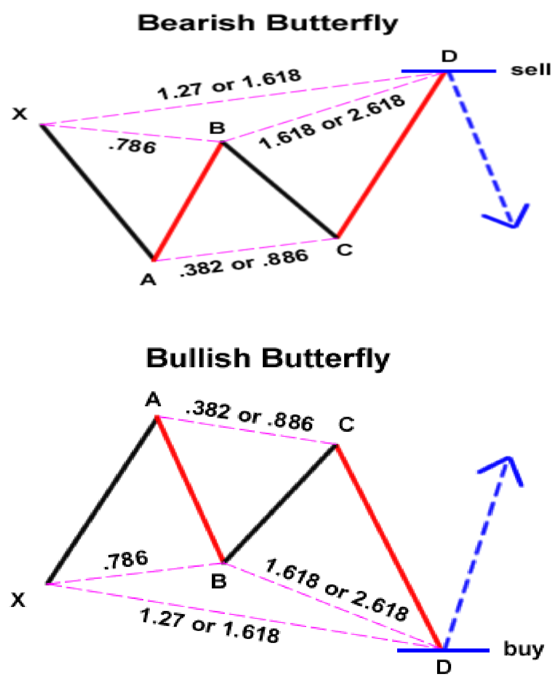


Come 2001, Scott Carney founded another Harmonic Price Pattern called the "**Bat.**"

The Bat is defined by the .886 retracement of move XA as Potential Reversal Zone. The Bat pattern has the following qualities:

1. Move AB should be the .382 or .500 retracement of move XA.
2. Move BC can be either .382 or .886 retracement of move AB.
3. If the retracement of move BC is .382 of move AB, then CD should be 1.618 extension of move BC. Consequently, if move BC is .886 of move AB, then CD should be 2.618 extension of move BC.
4. CD should be .886 retracement of move XA.

The Butterfly



Then, there is the **Butterfly pattern**.

Like Muhammad Ali, if you spot this setup, you'll surely be swinging for some knockout-sized pips!

Created by Bryce Gilmore, the perfect Butterfly pattern is defined by the .786 retracement of move AB with respect to move XA.

The Butterfly contains these specific characteristics:

1. Move AB should be the .786 retracement of move XA.
2. Move BC can be either .382 or .886 retracement of move AB.
3. If the retracement of move BC is .382 of move AB, then CD should be 1.618 extension of move BC. Consequently, if

move BC is .886 of move AB, then CD should extend 2.618 of move BC.

4. CD should be 1.27 or 1.618 extension of move XA.

"Effort only fully releases its reward after a person refuses to quit" *Napolean Hill*

3 Steps To Trading Harmonic Price Patterns

As you may have guessed, profiting off **Harmonic Price Patterns** is all about being able to spot those "perfect" patterns and buying or selling on their completion.

There are three basic steps in spotting Harmonic Price Patterns:

- **Step 1:** Locate a potential Harmonic Price Pattern
- **Step 2:** Measure the potential Harmonic Price Pattern
- **Step 3:** Buy or sell on the completion of the Harmonic Price Pattern

By following these three basic steps, you can find high probability setups that will help you grab those oh-so-lovely pips.

Let's see this process in action!

Step 1: Locate a potential Harmonic Price Pattern

Oh wow, that looks like a potential Harmonic Price Pattern! At this point in time, we're not exactly sure what kind of pattern that is.

It LOOKS like a three-drive, but it could be a Bat or a Crab…

Heck, it could even be a Moose!
In any case, let's label those reversal points.

Step 2: Measure the potential Harmonic Price Pattern

Using the Fibonacci tool, a pen, and a piece of paper, let's list down our observations.

1. Move BC is .618 retracement of move AB.
2. Move CD is 1.272 extension of move BC.
3. The length of AB is roughly equal to the length of CD.

This pattern qualifies for a bullish ABCD pattern, which is a strong buy signal.

Step 3: Buy or sell on the completion of the Harmonic Price Pattern

Once the pattern is complete, all you have to do is respond appropriately with a buy or sell order.

In this case, you should buy at point D, which is the 1.272 Fibonacci extension of move CB, and put your stop loss a couple of pips below your entry price.

Is it really that easy?

Not exactly

The problem with harmonic price patterns is that they are so perfect that they are so difficult to spot, kind of like a diamond in the rough.

More than knowing the steps, you need to have hawk-like eyes to spot potential harmonic price patterns and a lot of patience to avoid jumping the gun and entering before the pattern is completed.

“Nothing can stop the man with the right mental attitude from achieving his goal; nothing on earth can help the man with the wrong mental attitude”
Thomas Jefferson

Summary: Harmonic Price Patterns

Harmonic price patterns enable us to distinguish possible areas for a continuation of the overall trend.

The **Six Harmonic Price Patterns** are**:**

1. The ABCD Pattern
2. The Three-Drive Pattern

3. The Gartley Pattern
4. The Crab Pattern
5. The Bat Pattern
6. The Butterfly Pattern

3-Step Price Pattern Recognition Process

The three basic steps in spotting harmonic price patterns are the following

- Step 1: Locate a potential harmonic price pattern
- Step 2: Measure the potential harmonic price pattern
- Step 3: Buy or sell on the completion of the harmonic price pattern

Again, harmonic price patterns are so perfect that they are very difficult to spot.

More than knowing the steps, you need to have hawk-like eyes to spot potential harmonic price patterns and a lot of patience to avoid jumping the gun and entering before the pattern is completed.

With enough practice and experience, trading using harmonic price patterns can yield a lot of pips!

"Vision without action is a daydream. Action without vision is a nightmare" *Japanese Proverb*

Investments are neither complex nor difficult. There is a set of golden rules that help investors stay on track to achieve their ultimate financial goals. When it comes to money management, investments play a key role in creating wealth. At first, it can be difficult for you to decide which product to choose, where to invest, how much to keep, and so on. But as you continue, you will get a better understanding of how the investment market works.

Keep in mind that no matter how disciplined you are and no matter what rules you follow, investing comes with risks and you can still get back less than you invested.

Here is our summary of the 10 Rules Every Investor Should Know:

1.Do your own research.

Don't blindly trust what someone says on the internet; make sure it's backed up by multiple credible sources. Most people are biased about the cryptocurrencies they own, so naturally they can't say anything but good things about the coins in their portfolio while attacking the ones that aren't. Do your best to understand the positives and negatives of cryptocurrencies and develop an unbiased opinion.

2. Set clear goals knowing your financial goals and the time frame for which you are investing can help you stick to your strategy. For example, if you have long-term goals, such as saving money for your children's education or for a personal retirement that may be decades away, you may be less tempted to invest before that time.

3. Never invest in something you don't understand.

Before investing in any investment, take the time to research it thoroughly so you understand exactly what is involved and what the risks are. Funds, for example, issue a Key Investor Information Document (KIID) or a Key Information Document (KID) that explains the fund's main functions and fees. You must read this before investing. If you are investing in individual projects, make sure you know what the company is doing and how it plans to make money in the future. In the cryptocurrency market, projects also have various documentation, white paper, roadmap. Before investing, you need to study all this and subscribe to the social networks of the project in order to understand the general mood of the project and investors and be aware of the latest news.

4. Don't put all your eggs in one basket

Today, this rule is more relevant than ever. We all know the saying "don't put all your eggs in one basket", but it's especially important to apply this rule when investing. Spreading your money across a range of different asset types and geographies means you won't be too dependent on one type of investment or region. This means that if one of them performs poorly, some of the other investments may make up for those losses, although there are no guarantees.

5. The greater the potential return, the higher the level of risk

The prospect of higher returns may be attractive, but there is usually a greater risk of losing funds. Think carefully about your approach to risk. You may be more comfortable choosing less risky investments, even if returns are likely to be lower. However, remember that no investment is without risk, and there is always a chance that you can return less than you invested. If, nevertheless, the temptation to enter a highly profitable and high-risk asset eats you up from the inside - invest, however, with a very small part of your total deposit.

6. Long-term investments are not always accompanied by high returns.

First of all, it is necessary to understand for ourselves what profitability we want to receive from a company or project. Reading the documentation and roadmap, we do not assume that the company will exist for decades. First of all, we argue that with due efforts, the capitalization of the project can double. Yes, it may take several years. However, the goal should be expressed in terms of percentage of profit, and not in terms of the investment period. After all, it may happen that the value of assets will return to the price values of a decade ago or, even worse, the company will simply close.

7. If something seems too good to be true, it usually is.

Beware of highly speculative investments that seem too good to be true, don't follow the crowd and invest (or sell) just because other people do. For example, many investors invested in the digital currency bitcoin in the second half of 2017, when its price rose, but its value fell by half in a month. In mid-December 2017, Bitcoin was trading at almost $20,000, but by mid-January 2018, it had fallen below $10,000. Those who at that moment could not cope with stress and sold “at the bottom” lost a fortune.

8. Income reinvestment or cost averaging can help increase overall returns.

The DCA strategy helps to avoid asset volatility and allows you not to constantly monitor a company or project. If you are not looking for a quick return on your investment, then you may want to consider reinvesting your funds to buy more of your investment, which will potentially increase in value and increase your overall profit. Simply put, your earnings also generate a return, which is known as compound interest. However, keep in mind that reinvesting income rather than receiving it as cash means you could lose it or see its value drop. If any income you receive is automatically reinvested – for example, if you invest in shares directly and subscribe to Automatic Dividend Reinvestment (ADR) – you will also not be able to choose the price at which you will buy any additional shares, so it can be low or high.

9. Review your portfolio and rebalance

Markets are constantly changing, and so are your investments. You will be investing for many years, so it is important to carry out regular checks to stay on top of your money. Sometimes your initial asset allocation can get out of balance, so you need to rebalance it. For example, the market can fluctuate in different directions, effectively changing the percentage of your investment. Do you want to work on maintaining a percentage that will help you reach your goals? If you don't take action, you can have a lot more of one asset class than another when the market fluctuates.

As part of the rebalancing process, you buy or sell certain investments to return to your desired asset allocation. This can help prevent a portfolio from being too aggressive when the goal is to minimize risk. In addition, by rebalancing you will avoid having too many assets of a certain class and restore your portfolio back to the original set of assets.

10. Don't try to time the market

In an ideal world, you could buy investments just before they appreciate and sell before they fall. However, no one knows which direction the stock markets will move next, so trying to predict market ups and downs can result in you buying or selling at the most inopportune times. Buying and holding investments can help you stay committed to your investments for the long term by avoiding panic decisions when the markets are volatile. If you want to start investing, use these golden rules. By using these simple investment strategies, you can make your money work for you and take care of your future. If you think that the potential reward is not worth the risk, then investing is not for you.

Trading As An Investment Business

Business Definition

What Does ***Business*** Means

1. A commercial activity engaged in as a means of livelihood or profit, or an entity which engages in such activities.

2. That which engages the time, attention, or labor of any one, as his principal concern or interest, whether for a longer or shorter

time; constant employment; regular occupation; as, the business of life; business before pleasure.

Any particular occupation or employment engaged in for livelihood or gain, as agriculture, trade, art, or a profession.

3. An economic system in which goods and services are exchanged for one another or money, on the basis of their perceived worth. Every business requires some form of investment and a sufficient number of customers to whom its output can be sold at profit on a consistent basis.

4. An organization or enterprising entity engaged in commercial, industrial or professional activities. A business can be a for-profit entity, such as a publicly-traded corporation, or a non-profit organization engaged in business activities, such as an agricultural cooperative

Business Plan

A **business plan** is a formal statement of a set of business goals, the reasons why they are believed attainable, and the plan for reaching those goals. It may also contain background information about the organization or team attempting to reach those goals.

Having known what business is all about, what is now your thought? The second definition said business before pleasure. Did you hear that?

So how do you now make Trading as an Investment Business? Remember almost all the definition talks about one important area which is “consistent”**, “concentration”**, **“longer**

or shorter time" and at the end result "profit"**. That is all you need.**

So all what you needs to make forex trading as an investment business is for you to be **Concentrated**, **Consistent**, **Control your fear and greed, Obey the simple logic, graft out your** business **goals (target). At the end result "**profit**".**

Psychology Of Forex Trading

Learn Some Trading Tips from **Global-Gate Management**

I am sure all of you have heard about Albert Einstein. Probably he is one of the most famous scientists who created a big revolution in the scientific world and opened several new gateways of research and development. Theory of relativity, founding of relativistic cosmology, the prediction of the deflection of light by gravity that was later ended to understanding of black holes, the quantum theory of atomic motion in solids, the zero-point energy concept, the quantum theory of a monatomic gas, and… are only some of the things that he has done. But does Einstein have anything to teach us about trading? Yes, he has 8 amazing trading lessons.

You Should Analyze Yourself, Before You Analyze the Market

As far as I have learned so far, online forex, commodities, indices and stock trading are the only businesses that emotions have the highest and strongest impact on them. Currency market goes up and down based on nothing but the decision of the buyers and sellers. When most traders decide to buy, the price goes up and when they decide to sell, the price goes down. The same emotion which is the main factor that moves the markets is also the main factor of losing for retail traders like you and me. We also decide to buy or sell after we analyze the market, but when this decision is against the decision of most of the other traders, we lose.

There are several reasons for the trader's failure. Lack of enough knowledge is one of them but it is not the most important reason, in spite of what most people think. Most traders already know a lot, much more than what they need. When they keep on losing, they think they have not learned enough or their trading system is not a good system. So they keep on reading and learning more and more, whereas the reason of their failure is something else.

We have already talked about controlling of the emotions, but I believe we still need to talk about it because it is the most important reason of the trader's failure. The problem is most traders still don't know what their emotions are and how they cause them to lose. To know and recognize your emotions, you should analyze yourself before you analyze the market. You can understand and follow the emotions of the market only when you control your own emotions.

How can you find out if you trade based on your emotions or based on the signals that your trading system shows you? You should analyze your attitude, especially when you have a losing position.

If you think that you should take a position whenever that you sit at the computer and if you really take at least one position anytime that you analyze the market, it means you trade based on your emotions. Why? Simply because there is no system that gives you a trade setup every day and anytime that you turn on your computer. Therefore, if you trade anytime that you sit in front of the charts, you trade based on what your emotions tell you, not based on what your trading system and the techniques you have learned show you.

What is the solution? You should change yourself. You should learn to control your emotions. You should learn to ignore your emotions and trade only based on what is on the charts and in front of your eyes, not based on what is in your mind. In most cases, you think that you are following your system, but in fact you buy just because “you think” that the price will go up or you sell because “you think” that the price will go down. Whereas if you look at the charts carefully, you will see that they are not showing you any direction or signal, which means you should not trade and you should wait.

Waiting is something that most traders are not able to do. They feel guilty if they do not take any position for a few days. They think there is something wrong with them and their trading system. They think the other traders are making a lot of money and they are losing the opportunities. But this is not true. 95% of the traders are losing money. The traders who win are those who "wait" for the trade setups.

You should consider that usually there is no signal in 80% of the cases and so most of the disciplined traders are in the waiting phase, most of the time.

Emotions are the main cause of the trader's failure. Most training courses focus on the techniques and trading systems, but it is not hard to find a good and reliable trading system for free. Internet is full of free information that is really invaluable too. You can find so many reliable and strong trading systems for free. Something you cannot find over the internet is the ability of controlling of your emotions. A good trading system can make money for you only when you can use it emotion free.

As emotions have been my own problem too and I also lost a lot because of them, the training course I have designed is focused on two main parts. The first part is about the techniques and trading systems, but the most important part is where our subscribers learn to analyze the market and see the signals without any emotion. This is the only thing that moves you from the loser's territory (where 95% of the traders live) to the winner's territory where only 5% of the traders are.

Losing in Forex? Stick to a Trading Plan & Study Your Mistakes

Forex traders lose money in currency market for many reasons. They may not have the right methodology to trade with. They may not have clear understanding of how the market works, key indicators, key numbers, and ideal times to trade. Risking too much per trade and not being mentally prepared for the ball game.

Whether it's the result of unexpected market events or simply a poor trade idea, losing money invariably leaves one with a miserable feeling. Worst still if it is happening over and over again- a trader also feels loss of confidence and right attitude.

In my tenure as a trading coach and guide I have come across and observed many traders who consider putting in real money even when they are losing with their demo account. I don't think anything can be worse than that. But then there is little you can do as a coach when someone has lost the sense of direction.

Some of the most common consequences of losing in Forex could be that the trader gets into frenzy and makes haphazard trades without a pre-plan and as a result losing even more, or the second outcome could be that he may be so scared of incurring any more losses that he starts to avoid trading.

Real traders are those who don't lose mind and fret over losing trades for too long and take the message in the right frame of mind. They normally resort to studying the mistakes they made along with the prevailing market conditions to the time the losses occurred.

The traders try and take a micro view of the factors that resulted in price movements. These in-depth analyses done inside out will help these people to develop better and more realistic trade strategy for the next time similar situation crops up. A trader should make it his habit to review his trades whether they are winning or losing deals. This ongoing process of studying his trades and mistakes will help him to improve his trading strategy and system. This will help him gain perspective that works. He will be able to bring down the number of losing trades over a period of time as he will be learning new market patterns and adapting to them.

The process of learning can be broken up into three phases: Analyzing the trade itself, reviewing, and innovation. Let us first look at the act of analyzing the trade. Analyzing your trade irrespective of the final outcome, whether the trade resulted in loss or profit is the first step towards building a career as a successful and professional forex trader.

Next comes reviewing or feedback. A trader should remember at all times that he is not in a position to watch himself as he trades. In such a situation it becomes important that he takes a third-person's point of view, keep a note of every aspect of his trade from his thinking pattern, to market movements, and based on the facts he can analyze if what he did was right or wrong.

After you have kept a record of what and how you've traded, the next step for the trader is to incorporate changes, bring amendments, and rectify the mistakes wherever required. If during the second phase of reviewing some lacunas were found they have to be taken care of at this stage. It could vary and cover any aspect right from changing currency pairs to market timings to changing the trading system or spending some more time on demo account. By taking this exercise up a trader can compete and develop his skills much, much faster.

The impact of the recording, reviewing and making adjustments and re-aligning the procedure turns the trading deal into an experience you can learn something from which indirectly speeds up the learning process. And come to think of it, it is not difficult at all. It’s simply a matter of forming a habit and sticking to it.

A wise trader will also try and steer clear of the psychological pitfalls. He will make sure that greed to make a quick buck, or extreme fear of losing money in trade will not get better of his sensibilities and market realities. A Forex trader will make sure he does not overtrade and his money management skills are in place.

Being in a hurry or indiscipline is another major pitfall for a trader. When a trader is on a losing spree one after the other he tends to throw the trading plan out of the window and soon thus abandons some perfectly good trading methods. A trader should understand that every trading method has its time and situation frame within which it succeeds. At other times it could perform below average. A sensible trader will realize that no matter how good a trading base be, it cannot perform, at peak efficiency under all types of market conditions. If you want to become a successful trader in the long run you will have to inculcate the discipline to stick it out through the hard times without losing the focus.

To become a successful trader, you have to stay composed, be rational and emotionally detached. These traits are generally found on new traders. Experienced traders are far cooler and composed and have learnt over time that you’ll win some and you’ll lose some. An experienced trader trades with enough money to allow for a buffer when losing deals come. You should be ready to handle the losses, because they are inevitable and are bound to be there. A trader learns to control his emotions after wins. Learn to take winning in your stride. Automatically you will learn to handle losing deals too.

So that is that. Lose money. Do not lose the lesson. Do not let learning stop.

Our forex trading software Analysis program is a perfect training course for those who want to become independent and profitable traders. The most important feature of this program is that it teaches you home to trade like a professional and disciplined trader. Lack of discipline is the biggest problem of 95% of traders. Our program helps you learn to have and keep the discipline that a professional trader needs.

Understanding Trading Psychology and Keeping a Check on It

You've heard that playing the market is a mathematical game. Plug in the right numbers, make the right calculations and you'll come out ahead. So why is it that so many traders end up on the losing end of the market? After all, everyone has access to the same numbers, the same data, the same info – if it's math, there's only one right answer, right?

The answer lies in interpretation. The numbers don't lie, but your mind does. Your hopes and fears can make you see things that just aren't there.

When it comes to trading on the Forex market, winning is a matter of the mind rather than mind over matter. Any trader who's been in the game for any length of time will vouch for the fact that psychology has a lot to do with both your own performance on the trading floor and with the way that the market is moving.

When we say, trading psychology is about how well you as a Forex trader know yourself, your strengths, and your weaknesses. It's about how well can you put your strength to good use, and control your weak points. This decides how successful you will be.

When you know yourself, and are aware of how you will react under certain market conditions, and what you will do to protect yourself from self-damaging decisions, you make the most of ever changing currency market environment.

The overlapping line between trading and psychology is very fine and therefore complex. Psychological factors, like performance anxiety do come in the way while a trader is trying to make a decision in the market irrespective of how clear headed he might be.

In the same manner poor trading practices, like taking on too much risk with big lot sizes, can increase the normal stresses of the marketplace. I have personally seen many traders put their money at risk without giving it much thought and analyzing the market condition wisely. Such situations repeating themselves can frustrate a trader. And then there are grounded traders who base their trades on solid methods, but these may not be suitable for their talents, and skills they possess.

There is also another aspect to it. A certain type of trade may not go down well with a certain type of trader. For example, a very short-term, aggressive method of scalping markets, for instance, may look encouraging in theory but may prove to be completely irrelevant and stressful with a person who is highly analytical and risk-averse type. Aggressive trading can be a disaster for someone who plays safe bets.

Then there are instances when trading psychology issues have little to do with trading. These problems are the results of some already existing problems that may not be solved by different trading methods. These problems can be dealt with some simple suggestions and tips that can help an individual understand and acknowledge the anxiety and then learn to control emotions and build discipline.

If you have read enough about trading psychology and think that information overflow might kill you, here is a capsule! Understand ONE simple thing – That your biggest enemy when you are trading is YOU. It's not the market, or the market makers, or breaking economic and other world events. If YOU do not have a professional psychology then you will make the wrong decisions and lose money and there is no stopping and getting away from being a consistent loser. So let us discuss some keywords, and concepts that will help you to work with a professional trading psychology.

Be Disciplined.

The problem with most traders is that they treat trade and window shopping on same scale. In simple language a trader should have a well chalked out plan with clear stop and limit levels, and he should make sure that his analysis takes the expected downside as well as the expected upside into account.

A wise trader will not let excitement, fear, or someone else's influence make him decide what to trade, enter or exit a position unless he himself/herself sees sense in it.

An experienced trader understands that there are times when it's better to be in an all cash position and watching the market from the sidelines.

Currency pairs are not your friends. Your friend is your trading psychology. So do not play favorites with currency pairs. Focus on the technical aspects and do the right thing based upon your own system that you have developed and learnt over time.

To be in the game and yet remain emotionally detached from the market and the excitement that its movement creates is another trait a trader should try to imbibe in his trading personality. Don't go on checking the prices all day long. Prices are not important for a trader. Signals are. So wait for the signals and do not let your mind be engaged with one extra thing that has no importance. It's a better idea to stay focused on the large trends and not try to react to every move that market makes or every news that market breaks.

A trader has to learn to understand these events and be prepared for them, and be able to take the appropriate actions. A good psychology takes into consideration that you cannot predict what is going to happen in the market.

One last important tip for you to keep at the top of your mind, make sure you are only increasing your position when prices move toward your targets (of course if you really want to add to your position). I have seen it many times that when a price starts to move it usually continues in that direction for some time. So do not add to your wrong positions with this hope that you recover the losses when the market turns around.

Knowing the above things is something that makes you a profitable trader. Do not look for trading systems and sophisticated indicators or robots. They don’t work. If you still lose, it is because of yourself, not your trading system or the market.

In Global-Gate Live Market Analysis program, this something that 90% of my effort is focused on. I always try to help the members to understand and learn that trading doesn’t mean clicking on the buy or sell buttons. Everybody, even a 4 years kid is able to do that. Discipline and patience is the key. Waiting for the right and strong trade setup is something that makes you a profitable trader, not taking several positions per day. Setting proper stop loss orders is something that saves your capital and helps you keep on trading and making money. Taking too much risk with wide or no stop loss orders can only wipe out your account and prevent you from trading.

Forex Trading - Psychological Mistakes

Majority of individuals calling themselves forex traders are a nervous lot. With limited exposure and experiences most traders end up paying large amount of money towards learning forex trading. Then there are other reasons for their limited success or repeated failure – that they use the less advance forex trading tools which results in forex traders becoming the sacrificial victim.

Through this post I am going to reveal the basic reasons that lead to failure for traders. I want the readers to realize after reading this post that those making losses in the forex market aren't actually losers. And that it certainly does not hold true that they cannot beat the forex market. The fact is that they cannot defeat themselves. It's got more to do with winning against their own psychology than anything.

The first psychological mistake that most new and semi experienced traders commit is to follow the trend blindly without using common sense and logic. Things like an economical data published, some kind of breaking news aired on radio or T.V, 5 minutes chart reflecting a breakout and many such other things will trigger most forex traders to rush and be first to enter the market. It is often said that trend is trader's best friend. But as a forex trader you should remember that you have to follow the trend to trade, not be the first to enter market after any data or news published.

For example if as a trader you enter the trade based on first report released. Not waiting for other similar reports to come out. It often happens that after a few economic data are being released one following the other. What most forex traders do is they do not wait for same figures to be released by more than a few agencies? The second and following figure released might just reverse the forex movement. This is something that doesn't strike them in the frenzy.

Another example of it is that there are also traders who trade by keeping a close watch on the chart, and will enter market when the charts show extreme movement. These traders are again in a state of frenzy and do not take time to understand what the forces are for such a movement. And when they realize this for most traders is a gone game and too late to realize that it was a false alarm because they are already in the losing position.

If you want to succeed in the currency trading market don't be over-eager to enter the market, and learn to deal with worrying too late to make more profit. Instead learn to take time to analyze what's the impact of the economic figure released.

This is what following the trend is about in the true sense of the word, which will be moving on the same side till the markets close.

Then comes the second reason, which is greed. Forex trader is generally seen to be driven by greed of making high and consistent profits with each trade. If this was not true the currency market would not have been the largest market in the world. In forex trading for an averagely sensible and experienced trader, it's not really difficult to profitable every month. But what makes most forex traders lose at the end is their greediness. Majority of these guys are on their way to earning decent returns on their investments, but again greed takes over and most forex traders' start gambling at some stage as they are not satisfied with a reasonable profit.

What they start aiming at is at least a double or triple. This results in heavy losses for the traders. And believe me I have seen in my experience as a coach and trader that people don't learn from other people's mistakes. Traders instantly notice that someone has become millionaire trading in forex market and want to jump on to the band wagon immediately. But they are never so quick on the uptake when it comes to finding what it takes to be a winner, learning those skills and learning from mistakes of other traders. Had they been a more sincere and patient lot, success would come much easier.

In today's economic environment and condition most currency pairs fluctuate between 100-300 pips every day. It's not difficult to gain some profit daily. I have observed that after covering the daily profit, forex traders want to make another attempt and earn more on the same day. This is greed and if allowed to grow will finally lead to making losses at the end of the day.

To deal with greediness, the forex trader should stop and shut down the computer once the target/stop is reached for the day. Never look back, don't continue watching the forex quotes or chart after you have reached your goals because the movements will trigger the greed in you and you will not be able to stop yourself from taking that one more chance. Just call it a day after reaching your day's profit goal and proceed to spend rest of the day by doing things you like.

The third thing is to learn to stop loss, cut the position, and accept that you have done a mistake. Unless you accept your mistake and the reasons behind it, you will not be able to deal with it and unless that happens, the profits will not roll in. As a trader you have to always keep in mind that there's always going to be new opportunity as long as your margin is not tied with any open position.

If you will keep the above facts in mind, you'll sure do well for yourself and when it is time for you to share and pass on your knowledge to the juniors your practical insight will make you an effective and wise coach.

Successful Forex Trading Is Not Skydiving Where You Have to Succeed at Once

No matter which category of trader you may be or may be wanting to be - a newbie who has recently started testing waters, an explorer by experience, or someone that making her or his living exclusively from trading, you can be successful. Many aspiring traders are restricted in their thinking and assume that they need to have significant capital, or years of experience, to trade successfully. That’s not the complete truth.

What you need to become a successful forex trader is an attitude; a positive frame of mind; certain strength to deal with trial and error, and deeper understanding of things. One thing that should remember as a trader or an aspiring trader is that with forex or currency trading you don’t have to succeed at once. It’s not skydiving!

Nowadays everyone I meet is interested in making money through forex trading. And it’s not surprising at all. After all currency trading markets transact trillions of dollars, not millions or billions. This makes it even more attractive. People are always asking if it is a fact that you can create wealth from the convenience of your home. And I always tell them that every bit about it is a fact but I also tell them that trading is not that simple. And that it is not a wise idea to jump right in without a strong foundation and mental readiness.

If you are ill-equipped at mental level to handle the uncertainties and stress related to trading, or don't stay disciplined, focused, and rational, you'll end up being a losing trader - your higher level experience and expertise notwithstanding. All successful forex traders generally start as small investors with strong mental frames, they didn't trade more than they could safely risk, and above all when they lose they don't lose the lessons. They learned from their mistakes, and so they developed systems that worked for them. It's about being mentally active and smart.

Successful forex traders set goals in terms of revenue and also qualitative improvement in their trading. They're confident that they will be able to meet their goals. In most cases where I have tried to learn from the stalwarts and what I have read about them, it's their confidence that helps them to succeed and stay rational, logical, and disciplined in their currency trading. Starting with small, realistic goals can help build your confident outlook along with your abilities. This is the first step towards building a realistic frame of mind to be a winner.

I always tell people who join me that there aren't different techniques for different levels of forex traders because trading principles are the same for everybody in the markets and that are: focused, confidence, discipline trading creates success.

Since we are on the topic I would also like to take the opportunity to share another important fact with readers. It may sound strange but it's true - most forex traders cannot accept big profits even when they strike the right deal and earn it. It's disappointing but true that most forex traders fail not because they can't restrict losses, but because they don't have the courage to accept profits.

We will go deep into this and see why this happens. The fact remains that currency trading is risky, but the irony of situation is that most traders try so hard to play, save and restrict risk that they hardly give themselves any chance of making profits. As a result of this playing narrow leads to the following outcome.

They choose to day trade. These traders think that this is a low risk of trading, whereas the fact is that it’s the highest risk form of currency trading which such a non risk taking trader can do, because if things go wrong it guarantees a wipe out of equity.

Most traders also like to believe that they will make money by keeping the risk low and having tight stops, but when they implement it as strategy they find out that they get stopped out all the time. So they do not end up gaining at all. If you have faced this situation learn your lesson and move on.

These safe playing traders do feel good when they get a profit, but these are not often and minor and they never pay for their huge amount of losses.

The result is like I already mentioned earlier - Complete equity wipe out.

The next outcome about choosing to day trade is that they decide to follow the trend.

There are these other category of traders who trend follow and aim to make a profit and yet, with all the indicators pointing to a continuation of the trend - they take profit or get stopped out. This also results in the same old story. And it is certainly not a good mental attitude if one wants to stay in trading and succeed at that.

These guys end up earning only a minor profit, when they could have earned a huge profit, had they been more realistic and logically in their approach to trading. When these forex traders get any profit on their forex trading system, they get excited and the bigger it gets the more they want to take it before it gets away.

As normal movements and volatility eats into the profit of these safe playing traders, they panic and move their stop up or snatch the profit. Most traders are so obsessed with keeping the risk low that I openly tell them that they may as well not trade at all. What they should do is learn a few lessons to attain mental fitness required for trading.

To round it off – what every individual wanting to be a successful trader needs to build the courage & conviction to run profits and understand that as a trader he will have to take risk to get closer to goal of earning a steady above average profits over the long term.

No matter which category of trader you may be or may be wanting to be - a newbie who has recently started testing waters, an explorer by experience, or someone that making her or his living exclusively from trading, you can be successful. Many aspiring traders are restricted in their thinking and assume that they need to have significant capital, or years of experience, to trade successfully. That's not the complete truth.

If You Can Win Over Your Mind, You Will Win Trades

Forex is all about how to hit the next ball correctly rather than worrying about something of a distant future. Anything is possible in forex. Do not worry about what market will do. Just worry about what you will do when market reaches your “pain point” or “happy point”. You will have an easier life as a trader that way.

If you want to be a successful forex trader, the first requirement is to shift your mental attitude from a normal person to that of a speculator. It comes way before learning the basics of currency market, learning to read data and charts, and trying to perfect entry and exit skills, and so on. Entries and exits are indeed not “irrelevant” for any trader for any purpose. I hardly mean to convey anything like that when I say this. It is just that psychological aspects of trading are much more important than entries and exits, and decisive for the success or failure of a trader in the long run. Perhaps exits are more important than entries because any perfect or near-perfect entries are possible only in hindsight. All this is very theoretical and can be learnt from books, online lessons, and teachers.

The first thing as a forex Trainer that I do when I come across a new recruit wanting to start trading with or without my assistance is, I do my best to get his ego and fear in the market out of the way. Once they become aware of this and their ego and fear factor look reasonably in control, I loosen the grip as by this time they are already on their way to becoming dutiful followers of the market and survivors. That’s what I call helping them win mind over matter game.

As an aspiring trader what you will have to understand is that nobody can give you a formula or a straight jacket to fit into to get mind trained. Even the best guru and most accomplished gurus at the Ivy Leagues can’t drill it into your head and tighten the screws in a way that when you step out of the institute you will be a trained mind.

Training your mind is something you will have to tune your mind to understand and be convinced about. Forex trading is very much a mind game and without having a right frame of mind, it is a losing game even before it starts. Training your mind is the first step to become a successful trader but majority of traders who are just starting out or are still new neglect this crucial part which also explains why majority of traders do not succeed in the long run.

Actually instead of reading through realms and confusing the mind with overflow of information, I'd suggest that a beginner gets hold of an experienced, successful forex trader who has been in the forex trading game for any length of time. He will be the best person to tell you how much psychology has to do with both your own performance on the trading rink and with the way that the market is moving. He will tell you that striking a winning trade is all about knowing your own mind as a speculator– and at the same time understanding the way that psychology moves the market.

Trading is a hard mind game and let's face it - not everyone is suitable to be engaged in such a touch games. Most new recruits neither have the required frame of mind nor mental fortitude to survive in this game of speculation that goes on and on, day after day, month after month.

Training a right frame of mind is the most difficult but absolutely necessary part for achieving success as a trader. Most individuals are not accepting of it and therefore go through that grind of the learning process because it is very painful. But a trader has to understand that if he finally wants to see himself as a successful survivor and wants to stay in the business, he can't escape the hurdles which are actually stepping stones. The process teaches an individual to overcome fear, greed and mastering tranquility of mind while speculating.

Are you wondering "finally what is this mind game all about"? Well, it's about every trader being able to find his/her method or system of interpreting and trading which suits his/her own situation and personality. When a trader is trading he is also evolving and if he is serious and a thinking and analyzing individual he will develop his own survival tactics through his own unique methods and mindset. After spending some time in forex most traders agree that people fail for lack of system/method plus lack of discipline to follow through more than anything else.

System –a formula for success is unique for every individual trader and proves to be a weapon of a soldier in this market. Every trader in the course of time and with some experience should develop his own thinking pattern. Best one is a self-made one because you can never be at ease with a borrowed, coped or inspired idea. Borrowing good ideas from others is a good idea but implementing them without being convinced will be a disaster. What works for one kind of trader may not work for the other. Following what everybody is doing needs average intelligence but identifying unique striking points and taking a necessary action needs not only intelligence but also some common sense and a lot of courage.

Another mind control comes into play while one looks at and learns about money management**.** This is also where most traders go wrong. Keep it in mind that money management and discipline of mind is what makes or breaks a trader, not the elementary entry and exit method and reading the data and charts correctly.

Forex Trading is a sentiment game which runs on crowd mentality where even the best players with the best forecasts have been seen tricked out of good positions because of sudden sharp movements in price action which they failed to read correctly and flowed with the crowd. They are heard as saying alters on “we lost our mind”. See?

One last tip that I read somewhere and have believed in ever since- good sleep is essential for good trading but most of the traders seem to sleep with their mind’s eye open.

Is Forex Trading Stressful?

Forex trading is not stressful at all. It should not be, otherwise you cannot keep on doing it for a long time. Forex trading is a business. How long can you tolerate a stressful business?

If you feel overstressed while trading forex, something is wrong. Any problem has at least one reason. Your stress also has a least one reason. It can be because of any of the below reasons:

1. You take too much risk in your trades.

2. You trade with the money that you cannot afford to lose. It means you will be in trouble if you lose it.
3. You have no other source of income while you are still learning forex and you are in a rush to start making money through forex trading as soon as possible.
4. You are working with the others' money.
5. You do not set a proper and reasonable stop loss for your trades.
6. You have already lost a lot of money in forex and so you have a lot of fear and stress.
7. You are trying to make money through forex trading while you do not have enough experience and knowledge and you have not mastered your trading system.
8. You work with the small times frames that need you to be too fast in making the decisions and taking the positions and so this imposes an extra stress to you.

If you like to keep on trading forex and you have stress, eliminate the reasons of your stress first.

1. If your stress is because of taking too much risk, simply stop taking too much risk and follow the money management rules. Do not take more than 2-3% risk in your trades and you see that you will have no stress.

2. Do not trade all the money that you have. If you have saved $10000, do not open a $10000 trading account. Open a $1000 account. If you have no savings, do not borrow money from the others to trade. Work harder, save some money and then open a trading account.

3. You cannot make any money through forex trading if you have to make money. Forex trading needs peace of mind. If you are trading forex to pay your bills at the end of the month, you will not be able to decide properly and you will make mistakes. You will have extra and unusual stress.

4. It is normal that people ask you to trade with their money, when they find out that you are a trader. But do not do it if you have not built your confidence yet. Working with the others' money needs an extra level of confidence that you have not built it yet.

5. Never trade without stop loss. There is nothing more important than stop loss in trading. If you trade with a proper stop loss, your account will never be wiped out.

6. If you have lost a lot of money and so you have lost your confidence and fear has taken the control of your actions, just stop trading for a while to cool down. Then come back to forex market and analyze your bad trades and find your mistakes. Starts trading again while have learned your lesson and you will never repeat the same mistakes.

7. A surgeon can make about $400,000 per year. To become a surgeon, you have to study at least for 20 to 24 years. Can you become a millionaire forex trader just after a few months of learning and practicing? If you have started trading forex while you still don't know what forex trading is all about and how you can trade, you will have a lot of stress. Among our subscribers, we always have some who even don't know to download a file. It means they do not have even the basic knowledge of computer. It is normal to have a lot of stress when you do something that you

don’t know properly. So before you continue trading forex, learn the things that you have not learned yet.

8. Small time frames will have more stress for you if you are a new trader, because you have to be fast and you have less time to make your decision about taking or not taking the positions. If working with the smaller time frames is your problem and cases you to feel more stress, then stop using them. Shift to the bigger time frames.

Forex trading doesn’t have to be stressful. There is something wrong if you have stress while trading forex. Find the reason and kick it out of the game now.

If you like to shorten the long way of becoming a profitable trader and save you a lot of time and money, join us at ForexomaLive Market Analysis. In this program, subscribers not only learn to trade forex through several profitable and strong trading systems, but also they learn to build their confidence and trade without any stress, like a professional trader.

Which One is More Harmful: Fear or Greed?

Fear and Greed are two emotions that forex traders have to control. New forex traders have a lot of problems with these two emotions.

Greed is the first emotion that starts bugging. When someone just starts learning and trading forex and reads about the money that a trader can make through forex trading, he/she thinks about nothing but making a lot of money through forex trading.

Unfortunately many new forex traders are not “lucky enough” and so they succeed to have some good trades in their demo accounts at the beginning and this makes them think about opening a live account and making real money. I call this bad luck, because as soon as they start trading their real money, they see the other side of forex trading and forex market. They lose and so greed will be replaced by fear.

For a long period of time they move between fear and greed. Sometimes they are fearful and sometimes they are greedy. When they have a losing trade, their fear show up and when they have a successful trade, their greed takes the control. When they are greedy, they are overconfident and so they click on the buy/sell buttons bravely and when they are fearful they have no confidence and so they just watch the market and don’t dare to take any position even when there is a good trade setup.

Most of the new traders give up at this stage and so they lose the chance of making money through forex trading for the rest of their lives.

But it really does not have to be ended like this. A new trader can easily pass this stage and become able to control his/her emotions, if he/she follows the below stages:

1. A new forex trader has to spend a few months on learning the forex market and forex trading basics.

2. Then he has to learn a trading technique and a trading system. This is an important stage, because if he tries to find and try a new system on the forums and different forex related websites, he has to spend his whole life in trying different systems and so he

will never become a trader. The solution is finding a successful trader and asking him to share his trading system. The reason is that he has already tried that system and probably it is the system that he makes money with every month. So you know that it works. But if you want to find a system from the forums, you really don't know if it will work or not. So you have to spend a lot of time in trying the system and it is highly possible that after a long time, you come to this conclusion that the system is not applicable for live trading. On the other hand, a professional and successful trader tells you everything about the pros and cons of his system and he will share the "do"s and "don't"s. So you do not repeat the same mistakes that he made when he was developing the system.

Therefore, instead of looking for systems on the forums, try to find a good trader and ask him to teach you. But make sure that he is a real trader because there are many people who introduce themselves as good and great traders, but they have never been profitable in reality. So be careful.

3. After finding a good and reliable trading system which is taught by an experienced forex trader, you need to try the trading system on the demo account at least for few months. You should forget that you are demo trading and you should treat your demo account as a live account. Only in this case you can build the confidence that you need for live trading. Otherwise you will do nothing but developing bad trading habits. When you succeed to trade profitably for few months consecutively, you can open a live account and start trading with a small amount of money. You need to rebuild your confidence with your live account and to do that, you have to trade with a small amount of money and when

you succeed to trade profitably for few months, you can increase the amount of the money that you trade.

You are there

If you follow the above stages, you will see that fear and greed can never interfere in your trading, because you will not give them any chance to do this. Greed cannot take the control, because you do not start with trading a lot of money and fear will not show up because you do not lose your confidence because of losing a lot of money.

In Global Gate Management Ltd live market analysis subscribers learn some simple and applicable trading systems. So they save themselves a lot of time and money because they do not have to look for and try trading systems on their own. They build their confidence properly and so they do not lose their money because of overconfidence, nor they stop trading because of fear.

If You Like to Take a Step Forward, You Should Take Risk

Everybody likes to have a successful life, but not everybody takes a proper action toward achieving this goal.

When a small kid wants to walk for the first time, he knows by nature that he may fall and get hurt, but the joy and excitement that walking has for him, make him to take the risk. He is afraid of falling, but he takes the risk. He takes the risk, fall several times, gets hurt but doesn’t get disappointed and finally he achieves to pass an important stage in his life: He Becomes Able to Walk!

The very first stages of our lives can be passed only through taking risks. What will happen if we stop taking risks later on?

There is only one answer for this question: We will remain at the same stage and we will not take any new step.

Why do we stop taking risks when we grow up? Why a 10 months kid is braver than many mature people who do not dare to take risks?

What if a 10 months kid doesn't dare to take the risk of walking? He has to be happy with crawling for the rest of his life. He will never become able to walk.

This is something that many adults do. They stop taking risks and so they never pass any stage anymore. They live with the same position, same income, and same life style, same… for the rest of their lives.

If you are here, reading this article, it means you want to make money through forex trading. You may be brave enough to take risk. But there are many others who still like to make money, but they do not like to take any risk. There is only one result for them: They will never make any money.

Forex trading is all about taking risk, but the good thing about forex trading is that you can manage your risk. You take risk, but you know how much. So if you lose, you will not lose everything you have.

You can still recover the loss very easily. Those who take too much risk will blow up their accounts. Those who trade like a disciplined trader will be profitable at the end of the month, or even if they are not profitable every month, they save their capital for the next month and so they can still trade.

So don’t be afraid of taking risk, especially in forex trading.

In forex trading, these psychological things are more important than the techniques. Most of those who lose, know a lot about the techniques, but they have not learned the psychology of trading. They have a lot of fear because they take too much risk, or because they have already lost a lot and they don’t dare to take any position anymore.

Forex trading doesn’t have to that stressful and painful. It is much easier than that.

I did not talk about taking risk to ask you to join my trading program at the end of the article. We already have too many members to manage and handle easily and I think we will stop taking any new members at least for a while very soon. But if you still have problems both with the techniques and trading systems and also the emotions, fear and greed, still there is a chance to resolve your problems. I suggest you to join us in **our Global-Gate Management for daily trading signal Live Market Analysis**. We work on both of these important things. Our members learn the best trading systems and techniques, and at the same time they learn to control their emotions. They learn to trade like a professional and disciplined trader.

Indices, Futures & Dealer Market

CURRENCY FUTURES

Currency futures are futures markets where the underlying commodity is a currency exchange rate, such as the Euro to US Dollar exchange rate, or the British Pound to US Dollar exchange rate. Currency futures are essentially the same as all other futures markets (index and commodity futures markets), and are traded in exactly the same way.

Futures based upon currencies are similar to the actual currency markets (often known as Forex), but there are some significant differences. For example, currency futures are traded via exchanges, such as the CME (Chicago Mercantile Exchange), but the currency markets are traded via currency brokers, and are therefore not as controlled as the currency futures. Some day traders prefer the currency markets, and some day traders prefer the currency futures. I recommend the currency futures as they do not suffer from some of the problems that currency markets suffer from, such as currency brokers trading against their clients, and non centralized pricing.

What Does *Forex Dealer market* Mean?

Any type of financial institution that has received authorization from a relevant regulatory body to act as a dealer involved with the trading of foreign currencies. Dealing with authorized forex dealers ensure that your transactions are being executed in a legal and just way.